

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.,
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.
RESPONDENTS.

CMI DISTRIBUTION INC.'S REPLY BRIEF

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In its Opposition, SBA does not legitimately dispute that the goods at issue moved by ocean from China through United States ports to inland destinations and thus are subject to jurisdiction of the Federal Maritime Commission. There is also no legitimate dispute that the hundreds of thousands of dollars CMI paid in purported “demurrage” charges were paid while the goods were moving on through bills of lading to those inland destinations, prior to their delivery, and thus fall within the Commission’s jurisdiction. 46 U.S.C. §40102(6)(24)(25). All charges paid by CMI for which it is seeking reparations were assessed for services prior to delivery of the goods at the place and to the persons designated on the bills of lading.

SBA also does not legitimately dispute that CMI was invoiced, and paid, hundreds of thousands of dollars in demurrage charges despite the fact that such charges had no lawful basis. SBA admits there was never a time when the containers at issue were in the steamship lines’ possession for any extended period of time after their arrival at port. Thus, demurrage could not have been owing on the containers at issue.¹ Accordingly, neither SBA nor Freight Tech could reasonably have been confused as to the legitimacy of the demurrage charges assessed. Further, any suggestion that SBA – a multimillion dollar logistics provider – mistakenly billed CMI for hundreds of thousands of dollars for demurrage when it meant to charge CMI for something else, such as for detention or storage, is belied by the fact that such excuses are also baseless. Indeed, SBA does not dispute that it billed CMI for extended periods for supposed use of steamship line containers, despite the fact the containers had been returned to the steamship lines and thus there could have been no conceivable legitimate basis for assessing such charges. Further, the notion that maybe the charges assessed were mistakenly characterized as demurrage charges when they,

¹ NVOCC’s almost never charge demurrage because they do not own containers. To the extent they assess demurrage charges in the Tariffs, they are pass throughs of steamship lines’ demurrage charges.

in fact, were storage charges, is flatly contradicted by invoices from SBA's drayage company showing that CMI was being charged for demurrage *and* storage.

The fraudulent nature of SBA's conduct is compounded by the fact that although CMI legitimately can be charged only for freight, demurrage and detention charges that are reflected in an applicable tariff, SBA had no tariff in place. SBA nonetheless not only extensively marked up purported "demurrage" charges; it flatly misrepresented that it was doing so. The indisputable evidence reflects that while representing to CMI that it was merely passing through steamship line's demurrage charges, it was in fact marking up these fictional charges by up to 300%. SBA regularly charged CMI \$300 per day for demurrage charges (that did not exist) despite the fact that its drayage company was only billing SBA for approximately \$100 per day in (fictional) demurrage charges.²

Finally, SBA admits it refused to release containers in its possession even when all charges on those shipments had been paid, and instead demanded almost \$200,000 in payments on unrelated shipments before it would release those containers. The payments demanded, and obtained, were the fraudulent demurrage charges discussed above.

Faced with these indisputable facts, SBA desperately asserts the Commission lacks jurisdiction over it because it was not acting as an NVOCC for the shipments at issue. Again, however, the evidence is flatly to the contrary. No amount of wordsmithing or obfuscation can hide the fact that SBA acted as an NVOCC and issued CMI bills of lading for the subject shipments. SBA's contention that, although each of the bills of lading it issued to CMI expressly

² SBA asserts, contrary to the sworn testimony of Maria Vega and the contemporaneous documentation, that CMI agreed to pay SBA \$300 per day in demurrage charges even though that amount was far in excess of the daily rate reflected in the steamship line's tariff. See Ferreira Expert Report at Exh. F and Exh. F1; SoF 104-105. Even if, inexplicably, CMI had agreed to pay such an amount – which it did not – SBA is not entitled to charge CMI more than is reflected in an applicable tariff. Further, as reflected below, a contemporaneous document reflects that CMI asked SBA what the daily rate was for demurrage and was informed that it was \$300 per day. If it was CMI's idea to pay \$300 per day, CMI would not have had to ask SBA what the daily rate was.

states that it was “issued” by SBA, they were not *really* issued, is sophistry. SBA’s own terms and conditions reflect that the airway bills it issued to CMI are, “Bill[s] of Lading” “used to identify shipments tendered to SBA for transportation.” Supplemental Exh. 1 at page 2.³ That is exactly how they were utilized here. Moreover, the evidence further reflects that SBA operated as a carrier vis-à-vis CMI.

SBA primarily relies upon the Declaration of a disgruntled former CMI employee, Justin Jalowiecki, in an attempt to overcome the fact that SBA issued bills of lading to CMI for the shipments at issue. Mr. Jalowiecki parrots – without supporting evidence or explanation – SBA’s contention that “SBA did not issue to CMI any bill of lading.” This statement, however, ignores the plain evidence in the record. As reflected in Exhibit A-4 in support of CMI’s Opening Statement, bills of lading stating on their faces they were “issued by” SBA are in the record for the vast majority of the shipments at issue.⁴ No amount of SBA’s protestations to the contrary can hide that fact.

In light of the above, there is no legitimate dispute that SBA: 1) held itself out as an NVOCC and took responsibility for the transportation at issue; 2) fraudulently billed and collected \$248,750.50 from CMI in demurrage charges that were not owed; 3) failed to comply with the Shipping Act in billing and collecting \$248,750.50 in demurrage charges despite the fact that such charges were not in compliance with the rates, charges, classifications, rules, and practices contained in a tariff published in accordance with the Shipping Act of 1984, 46 U.S.C. §§40101 *et seq.* (“Shipping Act”) and Commission regulations; 4) violated §10(d)(1) of the

³ Bryan Tincher, SBA’s International Manager and CMI’s primary contact for the shipments at issue, also agrees that airway bills are bills of lading. Tincher Dep. at 14.

⁴ SBA issued a bill of lading for 28 of the 34 shipments subject to FMC jurisdiction and 25 of the 28 shipments for which CMI is claiming reparations. See JA at 00014, 00032, 00047, 00092, 00119, 00139, 00161, 00176, 00205, 00225, 00249, 00273, 00295, 00315, 00353, 00371, 00389, 00403, 00425, 00442, 00457, 00490, 00508, 00554, 00600. Note: CMI is referring to each Folder set forth in Exhibit 1 to its Complaint as a “shipment.”

Shipping Act by exercising purported carrier's liens and refusing to release cargo in its possession to coerce CMI to pay charges on unrelated shipments; and 5) violated the Shipping Act by billing and collecting \$29,185.58 in freight charges that were not in compliance with rates reflected in a valid tariff.

A. SBA Fails to Refute CMI's Proposed Findings of Fact

CMI filed extensive Proposed Findings of Fact in support of its Opening Brief, which were each supported by evidence in the record. The Presiding Judge's Scheduling Order of October 30, 2017 expressly requires that: "Each proposed finding of fact that an opposing party denies *shall be followed by an exact citation to evidence* that the opposing party contends will refute the evidence that the proposing party claims supports the proposed finding of fact." SBA, however, has ignored this requirement. Instead, as reflected in CMI's separately filed Deficiencies in SBA's Response to CMI's Proposed Findings of Fact, which is incorporated by reference herein, SBA either admitted CMI's Proposed Findings or denied them without citing any specific evidence as required. Thus, when SBA denied a Proposed Finding, instead of complying with the evidentiary requirements reflected in the October 30, 2017 Order, SBA often asserted a denial without citing any evidence supporting its denial, or offered a generic objection, such as "mischaracterizes testimony," without any explanation as to how the testimony is supposedly mischaracterized and without pointing out where one might look in the record to substantiate SBA's assertion that the testimony is mischaracterized. In other instances, SBA denies proposed findings by simply referring to "Declaration of Edward Zasada" or "Jalowiecki Declaration" without any further citation. These generic denials require the Presiding Judge and CMI to review the entire Declaration to try and figure out what particular statement therein might be construed as a basis for denying the Proposed Finding. This failure to comply with the

Presiding Judge's requirement that SBA offer specific evidence supporting its denial is compounded by the fact that the Declarations cited by SBA often do not appear to be in any way related to the Proposed Finding. Thus, for example, when CMI offers specific exhibits and testimony reflecting mark up of what SBA incorrectly characterizes as "demurrage" charges, SBA simply denies the Proposed Finding of Fact and states "Zasada Declaration" as support for the denial despite the fact that nothing in the Zasada Declaration is in any way related to this issue. See, e.g., Response to Proposed Finding of Fact No. 126. In short, SBA frequently generically refers to the Zasada or Jalowiecki Declarations instead of admitting that it has no evidence to refute a Statement of Fact. Accordingly, for the reasons set forth above, and more fully addressed in Deficiencies in SBA's Response to CMI's Proposed Findings of Fact, all of CMI's Proposed Findings of Fact should be deemed admitted.

B. SBA Held Itself Out as an NVOCC

In arguing that it is not an NVOCC subject to the Commission's jurisdiction, SBA asserts (a) the statutory definition of an NVOCC in the Shipping Act does not encompass it; and (b) it did not issue bills of lading. Neither of these assertions has merit.⁵

The Shipping Act defines an NVOCC as "a common carrier that (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. §40102(16). SBA argues that it was not an NVOCC in its relationship with CMI because it did not meet the description in part (B) of this definition. Part B, however, was intended by Congress as a protection for NVOCCs, not a component of the

⁵ SBA's contention that it was not a common carrier because its holding out was not to the "general public" is baseless. The general public does not mean everybody. "The Commission has held that it is not necessary for a carrier to hold itself out to transport all commodities, for all shippers." *Tariff Filing Practices of Containerships*, 9 F.M.C. 56, 63 (1965). "A line may be a common carrier of certain commodities as long as it is willing to carry those commodities for all who wish to ship them." *Investigation of Tariff Filing Practices*, 7 F.M.C. 305, 318 (1962). There is not a slightest evidence – and SBA points to none – that SBA restricted its holding out as a common carrier to CMI in any way. SBA held itself out as a carrier of any goods from China to the United States.

definition. S. Rep. 98-3, 98th Cong., 1st Sess. 20 (1983) (“The shipper status of an NVO, in its relationship with the vessel operator, is intended to accord the NVO the same protection as is accorded other shippers, such as the prohibition against unjust discrimination.”) The Shipping Act, moreover, also defines a “shipper” as an NVOCC, 46 U.S.C. §40102(22)(E), which also makes SBA’s argument on this point irrelevant. Further, the Commission’s co-loading regulations acknowledge that an NVOCC can be a shipper in relation to another NVOCC. *See* 46 C.F.R. §520.11(c)(iii) (describing a “shipper-to-carrier” co-loading arrangement.). It is clear that SBA was the consignee on NVOCC bills of lading issued for the CMI shipments and, as consignee, took delivery of the shipments. *See* pp. 13-15, *infra*.⁶ SBA acted as a shipper in its relationship with those NVOCCs because the Shipping Act defines “the person to whom delivery is to be made” as a “shipper.” 46 U.S.C. §40102(22)(C).⁷ Thus, there is no question in this case that SBA acted as a shipper in its relationship with other common carriers and did not operate the vessels by which the transportation of CMI’s goods was performed. The only question, therefore, is whether SBA acted as a common carrier *vis-à-vis* CMI.

Both the Commission and the federal courts have properly focused on the portion of the Shipping Act definition of an NVOCC that requires that an NVOCC be a “common carrier.” *See, Rose Int’l Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 162 (2001) (focusing on whether an entity is a “common carrier” in determining NVOCC status); *Landstar Express America, Inc. v. Federal Maritime Commission*, 569 F.3d 493, 497 (D.C. Cir. 2009) (“connecting

⁶ NVOCC bills of lading showing SBA as the consignee appear in the Joint Appendix at JA00007, 00026, 00031, 00048, 00072, 00112, 00118, 00138, 00169, 00191, 00200, 00224, 00248, 00271, 00294, 00321, 00351, 00370, 00388, 00402, 00424, 00441, 00470, 00489, 00512, 00557 and 00559.

⁷ The facts also indicate that SBA paid these NVOCCs for their transportation charges. *Compare, e.g.*, Joint Appendix JA00073 (Acme Freight Services Invoice) with JA00077 (SBA Check), which would also make SBA a “shipper” pursuant to 46 U.S.C. §40102(22)(B) (“the person for whose account the ocean transportation of cargo is provided”); *also Compare* JA00007 with JA00008, JA00033 with JA00038, JA00049 with JA00051, JA00093 with JA00096, JA00140 with JA00145 and JA00206 with JA00211.

the statutory dots, a person or entity that provides NVOCC services falls within the ambit of §19 only when it ‘holds itself out to the general public to provide transportation’ and ‘assumes responsibility for the transportation’. [These are the] ‘two defining characteristics of an NVOCC’.”)

SBA clearly held itself out to CMI to provide ocean transportation. A “holding out” is a representation or an undertaking. *See, e.g., Agreement No. 7620*, 2 U.S.M.C. 749, 752 (1945) (“the person to be regulated is the common carrier at common law, namely, one who undertakes for hire to transport the goods of those who may choose to employ him.” *Quoting, The Niagara v. Cordes*, 62 U.S. 7, 22 (1859)). As the Commission has acknowledged, there is no formula for the determination of common carrier status; “the question in final analysis requires *ad hoc* resolution. . . it is important to consider all the factors present in each case and to determine their combined effect.” *Tariff Filing Practices of Containerships, Inc.*, 9 FMC 56, 64-65 (1965). CMI has discussed a number of those factors in its Opening Brief at pp 7-14.

It is crystal clear, moreover, from SBA’s own admissions that SBA represented to CMI that it would undertake to provide transportation from China to the United States for CMI’s cargo. SBA has admitted that “CMI contracted with SBA to transport more than 60 containers of plastic bags and vinyl gloves from China into the United States.” Response to Proposed Finding of Fact No. 1. SBA has also admitted that it “is a full-service logistics provider that provides both air and ocean services.” Response to Proposed Finding of Fact No. 6.⁸ SBA has also admitted that CMI “solely looked to SBA for the provision of services.” Response to

⁸ SBA’s emails to CMI states: “All services subject to Service by Air’s Terms and Conditions, available at www.sbaglobal.com.” *See* SBA Terms and Condition at Supplemental Exh 1. These terms and conditions provide that, although Service by Air, Inc. was an indirect air carrier, it nonetheless provided ocean services. *See* SBA Terms and Conditions at Section 16.C. (Ocean Shipments) (“Service by Air, Inc. Shipments. If all or any part of the shipment tendered to Service by Air, Inc. is carried by water over any part of said route, such water carriage shall be performed subject to the terms and provisions and limitations and liabilities specified by the ‘Carriage of Goods by Sea Act’ and any other pertinent laws applicable to water carriers.”)

Proposed Finding of Fact No. 35. Further, SBA has admitted that it represented to CMI that it was dealing directly with the steamship lines. Response to Proposed Finding of Fact No. 46. SBA also admitted that it “avoided disclosing the fact that other NVOCCs were involved in transporting CMI’s goods.” Response to Proposed Finding of Fact No. 45.⁹ Taken together, these admissions compel the conclusion that SBA was representing to CMI that SBA was providing transportation of CMI’s goods from China. This is a precise description of a “holding out.”

SBA reinforced this holding out by issuing CMI SBA bills of lading for 28 of the 34 shipments subject to this proceeding, and 25 of the 28 shipments for which CMI is seeking reparations. SBA does not deny that these bills of lading exist nor that they were given to CMI.¹⁰ It attempts, rather, to make those bills of lading disappear by arguing they were not “issued” or “functional.” The argument that the air waybills were not “issued” is nonsensical given the fact that SBA actually provided the documents to CMI. *See, e.g.,* Carriage of Goods by Sea Act, Section 3(3) (“After receiving the goods into his charge the carrier, or the master or agent of the carrier, shall, on demand of the shipper, issue to the shipper a bill of lading....” This obviously means “give the bill of lading to the shipper,” which is exactly what SBA did.) 46 U.S.C. §30701, Note. Moreover, each of the SBA bills of lading stated “issued by Service by Air, Inc.”

⁹ SBA formally denied this Statement of Fact but only on the basis that the term “other NVOCCs” implies that SBA was an NVOCC. It therefore admits the core fact that SBA did not tell CMI that other NVOCCs were involved in transporting CMI’s cargo. In fact, SBA admits that it deliberately did not tell CMI that other NVOCCs were involved because it wanted to keep things “simple.” *Id.*

¹⁰ SBA suggests that the Presiding Judge should ignore the SBA-issued bills of lading in the record because they were not produced in discovery. SBA’s position is specious. In discovery, CMI sought from SBA all bills of lading (including airway bills) related to the Shipments. *See* CMI Document Request No. 8, Exh. C. Despite the fact that the SBA bills of lading clearly fall within the scope of that request, *SBA did not produce any of its bills of lading.* (Nor did it object to the discovery request.) For SBA to now object that it is unfair for CMI to rely upon documents that were in SBA’s own possession, but that SBA failed to produce in discovery smacks of hypocrisy.

The term “functional bill of lading” is not a term recognized in the transportation industry. Presumably, SBA’s argument is that the bills of lading it issued did not serve a transportation function. This contention is baseless, however, as the SBA bills of lading clearly served transportation functions. Eight of the 28 air waybills issued by SBA contain the following statement:

It is agreed that the goods described herein are accepted in apparent good order and condition (except as noted) for carriage SUBJECT TO THE CONDITIONS OF CONTRACT ON THE REVERSE HEREOF ALL GOODS MAY BE CARRIED BY ANY OTHER MEANS INCLUDING ROAD OR ANY OTHER CARRIER UNLESS SPECIFIC CONTRARY INSTRUCTIONS ARE GIVEN HEREON BY THE SHIPPER, AND SHIPPER AGREES THAT THE SHIPMENT MAY BE CARRIED VIA INTERMEDIATE STOPPING PLACES WHICH THE CARRIER DEEMS APPROPRIATE. THE SHIPPER’S ATTENTION IS DRAWN TO THE NOTICE CONCERNING CARRIERS LIMITATION OF LIABILITY. Shipper may increase such limitation of liability by declaring a higher value of carriage and paying a supplemental charge if required.¹¹

The goods are described on the SBA bills of lading by name and the number of the container in which they were shipped. Thus, the bills of lading functioned as receipts for cargo. In addition, they are clearly evidence of a contract of carriage as specifically noted in the statement quoted above. These are two of the classic functions of a bill of lading and certainly qualify SBA’s bills of lading as “functional.”

The SBA bills of lading also functioned as evidence of SBA’s undertaking to transport CMI’s cargo from China to the United States as a carrier. As noted above, SBA clearly identified itself as the issuer of these bills of lading, and, therefore, the carrier performing the transportation reflected in these documents. Moreover, an examination of these documents

¹¹ See the Joint Appendix at JA00047, 00092, 00205, 00508, and 00554. Three additional air waybills for which no demurrage was sought are attached as Supplemental Exh. 9. The fact that this statement appeared on a number of the bills of lading issued to CMI by SBA clearly implies that the statement would be applicable to all of the bills of lading. See, e.g., *Independent Mach. V. Kuehne + Nagel, Inc.*, 867 F. Supp. 752, 765 (N.D. Ill. 1994) (course of dealing arises from five prior transactions.)

reveals that SBA took pains to describe the specific shipments it handled for CMI on each of these bills of lading. This is clearly demonstrated by comparing the SBA bills of lading to the Las Freight bills of lading that were also issued for the CMI shipments.

- The shipper and consignee on the SBA bills of lading are correctly identified, whereas a significant number of the Las Freight bills of lading incorrectly identify CMI as the shipper in China. *See* discussion at p. 13, *infra*.
- The port of loading and the place of delivery on the Las Freight and SBA bills of lading are closely related and, in the case of the place of delivery, usually identical. Any differences can be ascribed to the fact that there are no airports in some of the places designated on the Las Freight bill of lading as the port of loading or the place of delivery. When this occurred, SBA obviously used the airport that was located closest to the relevant port.
- Each of the SBA bills of lading shows the container (by number) in which the goods were carried as set forth on the Las Freight bills of lading.
- The description of the goods on the SBA bills of lading was usually “bags” or “LDPE bags,” which, as can be seen from the Las Freight bills of lading, were the primary commodity moved for CMI.

Thus, the SBA bills of lading also functioned as documents identifying the transportation provided by SBA for CMI.¹²

SBA’s argument as to why the fact finder should ignore the fact that it issued bills of lading to CMI for almost each of the shipments at issue simply cannot withstand scrutiny. SBA’s

¹² The SBA bills of lading were also used to identify the CMI shipments internally and to SBA’s subcontractors for inland transportation. *See, e.g.*, Joint App. Folder 17, Doc. Nos. JA00085, JA00086, JA00087, JA00088, JA00089, JA00090, JA00091, JA00092, JA00093, JA00095, JA00096, JA00098, JA00100, JA00101, JA00102, JA00105, JA00107, JA00108, JA00109, JA00110, JA00111, JA00114.

arguments in this regard are frequently inconsistent, if not flatly contradictory. Thus, while vigorously disputing that the issuance of the bills of lading for each of the shipments at issue was a “mistake,” SBA instead baldly asserts (in the same paragraph) that the 28 bills of lading were issued “inadvertently. See SBA Brief at page 2. If there is somehow a difference between mistakenly issuing 28 bills of lading and inadvertently issuing 28 bills of lading, SBA fails to explain it.

SBA relies upon the Declaration of Mr. Zasada, Zasada Declaration at ¶ 8, to contend that somehow in the fog of time *over the last three years*,¹³ SBA does not really know why it issued CMI bills of lading for almost every one of the shipments at issue but has to presume that it did so in response to CMI’s request for shipping documentation. *Id.* The fact that SBA issued the bills of lading to CMI in response to CMI’s request for shipping documents for the transportation at issue clearly shows that SBA considered its bills of lading a functional transportation document. See, Carriage of Goods by Sea Act, Section 3(3), 46 U.S.C. §30701, Note (SBA acted as a carrier by issuing its bill of lading “at the request of the shipper”). Moreover, the notion that neither SBA nor Mr. Zasada know why SBA issued bills of lading to CMI for each of the shipments at issue is no more believable than SBA’s prior representations that SBA has never participated in ocean transportation, see Responses to Proposed Statement of Fact Nos. 60 and 61, or its repeated assertions to CMI that steamship lines were threatening to lien CMI’s cargo. See Exh. A-6.¹⁴

¹³ Radiant acquired SBA in June of 2015. Zasada Dec at ¶ 3.

¹⁴ Equally ludicrous is SBA’s tortured explanation that its bills of lading provided to CMI, at CMI’s request, were merely “certain accounting data on a computer-generated form that contain[ed] the words air waybill.” SBA Brief at page 8. The simple truth is that SBA provided CMI with bills of lading at CMI’s request, which bills of lading expressly stated that they were “issued” by SBA.

Just as the SBA bills of lading are compelling evidence of SBA's "holding out" to CMI as an NVOCC, they also evidence that SBA assumed responsibility for the transportation. In the first place, as noted previously, the SBA bills of lading clearly state they are "contracts of carriage" which clearly imply that SBA, as a carrier, was assuming responsibility for the transportation. The SBA bills of lading also refer to terms and conditions of carriage which, as set forth in Footnote 8 above, included provisions by which SBA provided ocean services. Further, the notice on the front of the bills of lading draw the shipper's attention to the "carrier's limitation of liability," a normal and ordinary facet of a transportation carrier's assumption of responsibility. Moreover, SBA's terms and conditions with respect to ocean shipments provide that "such water carriage shall be performed subject to the terms and provisions and limitations of liability specified by the 'Carriage of Goods By Sea Act' and any other pertinent laws applicable to water carriers." SBA Terms and Conditions at Sec. 16.C. (Ocean Shipments), Supplemental Exh.1.¹⁵ The Carriage of Goods by Sea Act clearly establishes the responsibility of the carrier issuing bills of lading for the transportation.

SBA also took responsibility for the transportation by taking possession of the CMI goods and managing and directing the transportation for these shipments. As can be seen from the documents for the CMI shipments in the Joint Appendix, the typical CMI shipment involved four carriers:

(1) Las Freight, which issued bills of lading sometimes showing CMI as the consignee and sometimes showing CMI as the shipper. Why Las Freight did this when CMI

¹⁵ This provision purports to limit Service By Air, Inc.'s responsibility to "use reasonable care in the selection of carriers, forwarders, agents and others to whom it may entrust the shipment." Such a reservation of responsibility is inconsistent with the holding out by SBA as an NVOCC for the shipments subject to this proceeding and is no more effective than an identical attempted limitation of responsibility for both Service By Air, Inc. and SBA Consolidators, Inc. – a licensed NVOCC – in Section 35 of the SBA Terms and Conditions titled "Ocean Shipments."

never had an office or facility in China has not been explained. It appears, however, from other documentation in these files, in particular, the SBA invoices, that Las Freight incorrectly showed CMI as the shipper in China for shipments delivered by SBA directly to CMI's customers, a practice known as "drop-shipping."

(2) SBA, which issued bills of lading always correctly identifying CMI's supplier as the shipper and either CMI, or CMI's customer for drop shipments, as the consignee.

(3) A third NVOCC to which Las Freight, through its Chinese affiliate, Las Sweg Logistics (Shanghai) Ltd., co-loaded the shipments.¹⁶ These third party NVOCCs issued bills of lading showing Las Sweg as the shipper and SBA as the consignee.

(4) A vessel operator to which the third party NVOCC tendered the shipment for the physical carriage of the goods. The vessel operator bills of lading have not been produced in this proceeding and it is not possible to accurately identify which vessel operators actually took responsibility for these shipments. Thus, four common carriers took responsibility for the CMI Shipments. This is not unusual, particularly in situations where there is co-loading among NVOCCs. In fact, these shipments demonstrate a "double co-load" where SBA co-loaded the cargo to Las Freight and Las Freight co-loaded the cargo to the third party NVOCCs. *See* 46 C.F.R. §520.2 ("Co-loading means the combination of cargo by two or more NVOCCs for tendering to an ocean carrier under the name of one or more of the NVOCCs.")¹⁷

As noted above, SBA has admitted that it represented to CMI that it dealt directly with the steamship lines physically carrying these shipments. In reality, SBA dealt with the third

¹⁶ Las Freight used its affiliate in Shanghai, Las Sweg Logistics (Shanghai) Ltd. to co-load the shipments to NVOCCs in China. *See*, Las Freight website at <http://www.las-freight-system.com/contact>.

¹⁷ The names of the vessels and the container numbers appear on the third-party bills of lading and a carrier code is entered in Box 12 of the Customs Form 3461. It is impossible to accurately identify the vessel operators that actually issued the bills of lading for these shipments with a high degree of accuracy from this information.

party NVOCCs to which Las Freight co-loaded these shipments. Because SBA was the consignee on the third party NVOCC bills of lading, which were “freight collect,” SBA was responsible for paying the freight charges to the third party NVOCCs. These payments are reflected in the shipment files contained in the Joint Appendix.¹⁸ See documents cited in Section C.1.; *see also* footnote 7. By paying these charges, SBA took delivery, and control, of the CMI shipments.

SBA used its possession of CMI’s cargo to ensure that CMI paid both the legitimate charges to which it had agreed as well as the unlawful overcharges for which CMI is seeking reparations in this proceeding. SBA exercised this control by refusing to release or deliver the CMI shipments until CMI paid the charges SBA demanded. In using its control over the CMI cargo in this manner, SBA was asserting a carrier’s lien because it had no other basis, contractual or otherwise, to hold CMI’s shipments.¹⁹ For some shipments this lien was justified; for others it was not. However, by asserting such a lien and using it to force CMI to make payments, SBA was exercising another carrier function and taking a carrier’s responsibility for the cargo.

C. SBA Performed NVOCC Services Set Forth in 46 C.F.R. §515.2(k)

SBA claims that it did not perform any of the NVOCC services as defined in the Commission’s regulations at 46 C.F.R. §515.2. SBA Brief at 25-26. This assertion is incorrect. The record is replete with evidence showing that SBA performed NVOCC services within this definition:

¹⁸ CMI compiled all of the documents in the Joint Appendix (“JA”). Despite being given the opportunity to supplement the JA with documents in its possession, SBA failed to do so. SBA did, however, suggest that CMI should include Import Security Filings (“ISF” or “ISFs”) in the JA. CMI did not prepare such documents and does not have them in its possession. Ordinarily, a Customs Broker would prepare such documents. Contemporaneous documentation suggests that SBA sent the ISF information to the Customs Broker, which here was SBA Consolidators. See March 20, 2014 email, attached as Supplemental Exh. 2.

¹⁹ In its Brief, SBA asserts that its liens could have been based on state statutes such as Illinois statute 770 ILCS 45. This is a meritless make weight argument. The statute cited, for example, by its terms only applies to vehicles.

1) Purchasing transportation services from a common carrier and offering such services for resale to other persons.

Contrary to SBA's assertions, it was named on bills of lading issued by the third party NVOCCs to which Las Freight co-loaded the CMI shipments. These shipments were transported on a "freight collect" basis, which means that SBA, as the designated consignee on these bills of lading, was responsible for this transportation. The record demonstrates that SBA actually made these payments.²⁰ Further, neither the relevant bills of lading nor SBA's payment records contain any reference to CMI. *Id.* Thus, any suggestion that SBA was acting as a disclosed agent for CMI, as SBA asserts in its Brief, is wholly without foundation.

The Joint Appendix documents also clearly establish that SBA resold those services to CMI and marked the transportation costs up as an NVOCC.²¹ In doing so without a published

²⁰ See Joint Appendix: Folder 2-Documents Nos. JA00002, JA00003, JA00004, JA00634; Folder 3-Documents Nos. JA00007, JA00008, JA00009, JA00640; Folder 9-Documents Nos. JA00015, JA00019, JA00020, JA00026, JA00643; Folder 10-Documents Nos. JA00029, JA00031, JA00033, JA00644; Folder 13-Documents Nos. JA00048, JA00051, JA00645; Folder 16-Documents Nos. JA00072, JA00073, JA00077, JA00079, JA00651; Folder 17-Documents Nos. JA00093, JA00096, JA00101, JA00652; Folder 19-Documents Nos. JA00118, JA00121; Folder 21-Documents Nos. JA00138, JA00140, JA00145, JA00146, JA00655; Folder 25-Documents Nos. JA00162, JA00169; Folder 27-Documents Nos. JA00177, JA00191; Folder 29-Documents Nos. JA00200, JA00206, JA00210, JA00214, JA00669; Folder 33-Documents Nos. JA00224, JA00226, JA00230, JA00672; Folder 36-Documents Nos. JA00248, JA00251; Folder 42-Documents Nos. JA00271, JA00276, JA00280, JA00672; Folder 43-Documents Nos. JA00294, JA00297; Folder 44-Documents Nos. JA00317, JA00321; Folder 46-Documents Nos. JA00351, JA00354; Folder 49-Documents Nos. JA00370, JA00372; Folder 50-Documents Nos. JA00388, JA00391; Folder 51-Documents Nos. JA00402, JA00404; Folder 52-Documents Nos. JA00422, JA00424, JA00427; Folder 53-Documents Nos. JA00441, JA00443; Folder 54-Documents Nos. JA00458, JA00470; Folder 58-Documents Nos. JA00489, JA00491; Folder 59-Documents Nos. JA00511, JA00513, JA00520, JA00521, JA00536, JA00537, JA00548, JA00680; Folders 60 & 61-Documents Nos. JA00557, JA00559, JA00560, JA00561, JA00562, JA00563, JA00567, JA00568, JA00680, JA00681; Folder 62-Documents Nos. JA00599, JA00601. On occasion, SBA paid vessel operators directly. See Joint Appendix Document Nos. JA00669 (Mediterranean Shipping Company), JA00688 (Mediterranean Shipping Company), JA00657 (Matson Navigation).

²¹ See, e.g., Joint Appendix Folder 9-Documents Nos. JA00015 (Freight costs of \$3,393.00 paid to Weida Freight System, Inc.), JA00024 (Billed CMI \$4,688.00 for ocean freight); Folder 10-Documents Nos. JA00033 (Paid \$4,500.00 in ocean freight to Acme Freight Services Corp.), JA00044 (Billed CMI \$5,537.00 in ocean freight); Folder 13-Documents Nos. JA00048 (Paid Acme Freight Services Corp. \$4,680.00 for ocean freight), JA00067 (Charged CMI's customer, Hercules Poly Inc. \$5,280.00 for ocean freight); Folder 16-Documents Nos. JA00073 (Paid Acme Freight Services Corp. \$4,900.00 for ocean freight), JA00083 (Charged CMI in excess of \$5,000.00 for ocean freight); Folder 17-Documents Nos. JA00093 (Paid Continental Logistics Service \$3,575.00 for ocean freight), JA00107 (Charged CMI \$4,050.00 for "air freight"); Folder 21-Documents Nos. JA00140 (Paid Acme Freight Services \$5,000.00 for ocean freight), JA00150 (Charged CMI \$5,400.00 for "air" freight); Folder 27-Documents Nos. JA00177 (Paid Pan Star Express \$3,550.00 for ocean freight), JA00181 (Charged CMI \$4,500.00 for ocean freight); Folder 29-Documents Nos. JA00206 (Paid Acme Freight Services \$3,100.00 for ocean freight), JA00216

tariff in place, SBA acted in violation of §41104(2)(A) of the Shipping Act. Thus, in addition to its other damages, CMI is entitled to reparations in the amount of \$29,185.58 for freight charges assessed in excess of the amounts reflected in a valid tariff. Supplemental Exh. 8.

2) Payment of Port-to-Port or Multimodal Transportation Charges.

As exhaustively demonstrated in the previous section, SBA purchased for its own account all of the transportation services it re-sold to CMI. This is confirmed in the documentation cited in that section. In none of these instances was SBA identified as CMI's disclosed agent.

3) Entering into Affreightment Agreements with Underlying Shippers.

SBA asserts that the record shows no affreightment agreement with underlying shippers. SBA Brief at 25. This is incorrect. In the first place, the SBA bills of lading are contracts of affreightment. T. Schoenbaum, Admiralty and Maritime Law (5th Ed.) §10-5 at 797 ("In liner shipping the contract of affreightment is always the liner bill of lading."); *The Eddy*, 72 U.S. 481, 490 (1866); *Sacramento Navigation Company v. Salz*, 273 U.S. 326, 328 (1927). Secondly, contracts of affreightment may be oral. *Yangming Marine Transport Corp. v. East Coast Chemicals and Paper Corp.*, 643 F. Supp. 995, 999 (1986), and SBA has admitted that "CMI

(Charged CMI \$3,470.00 for "air" freight); Folder 33-Documents Nos. JA00226 (Paid Acme Freight Services \$3,520.00 for ocean freight), JA00240 (Charged CMI \$9,600.00 for "air" freight); Folder 43-Documents Nos. JA00297 (Paid Acme Freight Services \$4,150.00 for ocean freight), JA00311 (Charged CMI \$5,150.00 for ocean freight); Folder 46-Documents Nos. JA00354 (Paid Acme Freight Services \$8,300.00 in ocean freight), JA00365 (Charged CMI \$9,650.00 in ocean freight); Folder 51-Documents Nos. JA00404 (Paid Acme Freight Services \$3,781.00 in ocean freight), JA00418 (Charged CMI \$4,888.00 in ocean freight); Folder 52-Documents Nos. JA00427 (Paid Acme Freight Services \$3,750.00 for ocean freight), JA00436 (Charged CMI \$4,245.00 for "air" freight); Folder 53-Documents Nos. JA00443 (Paid Acme Freight Services \$4,080.00 for ocean freight), JA00453 (Charged CMI \$8,734.58 in ocean freight); Folder 58-Documents Nos. JA00491 (Paid Acme Freight Services \$3,850.00 for ocean freight), JA00503 (Charged CMI \$4,895.00 in ocean freight); Folder 59-Documents Nos. JA00513 (Paid Anchor Logistics \$3,000.00 for ocean freight), JA00546 (Charged CMI \$4,095.00 in ocean freight); Folders 60 & 61-Documents Nos. JA00561 (Paid Anchor Logistics \$6,000.00 in ocean freight), JA00592 (Charged CMI \$7,490.00 in ocean freight); Folder 62-Documents Nos. JA00601 (Paid Acme Freight Services \$3,800.00 for ocean freight), JA00628 (Charged CMI \$4,895.00 in ocean freight).

contracted with SBA to transport more than 60 containers of plastic bags and vinyl gloves from China into the United States.” Response to Proposed Finding of Fact, No. 1.

4) Issuing Bills of Lading or Other Shipping Documents.

As demonstrated herein, SBA issued bills of lading for the shipments, which constituted contracts of affreightment.

5) Assisting with Clearing Shipments in Accordance with U.S. Government Regulations.

SBA admits that SBA Consolidators provided customs clearance services. SBA Brief at 25. SBA itself, however, clearly assisted with the customs process in at least two respects. *First*, SBA collected the information for the ISF for the CMI shipments that was filed along with the customs entry by SBA consolidators. See Brian Tincher email to Jay Jalowiecki informing him that SBA wanted to send the ISF information to CMI’s Customs Broker. Supplemental Exh. 2; 19 C.F.R. §149.5(a) (Customs regulation regarding filing of Importer Security Filings by customs brokers). *Second*, SBA included charges for customs services on its invoices to CMI as permitted by the customs regulations. See, e.g., Joint Appendix Folder 9-Documents No. JA00025; Folder 10-Documents No. JA00044; Folder 13-Documents No. JA00067; Folder 16-Documents No. JA00083; Folder 17-Documents No. JA00107; Folder 21-Documents No. JA00150; Folder 29-Documents No. JA00216; Folder 43-Documents No. JA00311; Folder 46-Documents No. JA00365; Folder 51-Documents No. JA00418; Folder 52-Documents No. JA00436; Folder 58-Documents No. JA00503; Folder 59-Documents No. JA00546; Folders 60 & 61-Documents No. JA00592; Folder 62-Documents No. JA00628.

6) Arranging for Inland Transportation and Paying for Inland Freight Charges on Through Transportation Movements.

SBA admits that it arranged inland transportation but states that “the record does not suggest it purchased or paid for such services on its own account.” It also asserts that it

purchased inland transportation services as “CMI’s disclosed agent.” The record, however, is flatly to the contrary. The evidence shows that SBA used a drayage company named Freight Tech Cartage, Inc. (“Freight Tech”) for a substantial number of the inland transportation movements that were delivered directly to CMI. While SBA has not chosen to produce any bills of lading for inland transportation, the Freight Tech invoices that are a part of the Joint Appendix clearly show that Freight Tech’s services were provided for the account of SBA or SBA Consolidators, Inc., SBA’s sister company, and there is no indication on any of these invoices that the inland transportation was being purchased by or on behalf of CMI. *See, e.g.*, Folder 3-Document No. JA00011; Folder 19-Document No. JA00129; Folder 25-Document No. JA00167; Folder 27-Document No. JA00189; Folder 36-Document No. JA00259; Folder 42-Document No. JA00285; Folder 43-Document No. JA00303; Folder 46-Document No. JA00361; Folder 50-Document No. JA00395; Folder 52-Document No. JA00431; Folder 58-Document No. JA00497; Folder 62-Document No. JA00614. Similarly, on shipments for which SBA employed inland transportation providers other than Freight Tech, their invoices all reflect that the services were provided for the account of SBA and there is no indication in the documents that SBA was acting as a disclosed agent for CMI. *See, e.g.*, Folder 10-Document No. JA00041; Folder 13-Document Nos. JA00061 and JA00062; Folder 17-Document No. JA00086; Folder 21-Document Nos. JA00151 and JA00152; Folder 29-Document Nos. JA00201 and JA00202; Folder 44-Document No. JA00339; Folder 53-Document No. JA00449; Folder 54-Document Nos. JA00475, JA00477 and JA00478. Further, on virtually all of the invoices received from the inland transportation carriers, the SBA reference number was the same as the SBA bill of lading issued to CMI. Thus, there can be no legitimate dispute that SBA arranged and purchased inland transportation services for its own account.

7) Paying Lawful Compensation to Ocean Freight Forwarders.

There appears to be no such payments.

8) Coordinating the Movement of Shipments Between Origin or Destination and Vessel.

The record is clear that SBA took delivery of the CMI shipments from the third party NVOCCs to which Las Freight had co-loaded them, paid those carriers and arranged for the inland transportation deliveries to CMI or CMI's designated customers. *See*, discussion at Section C.6, *supra*.

9) Leasing Containers.

NVOCCs do not ordinarily lease containers and there is nothing in the record to reflect that SBA did so here.

10) Entering into Arrangements with Origin or Destination Agents.

Clearly, SBA and Las Freight entered into an agreement to split profits for the CMI shipments, which is a normal transaction between NVOCCs acting on behalf of each other, whether or not they were acting as true agents for each other. *See* Supplemental Exh. 3.

11) Collecting Freight Monies from Shippers and Paying Common Carriers as a Shipper on NVOCC's Own Behalf.

As demonstrated in the discussion under Section C.1 above, it is clear that SBA collected freight monies from CMI and paid the third party NVOCCs as a shipper (consignee) on SBA's own behalf.

In sum, the facts in the record and the governing law establish that SBA held itself out as a carrier, assumed responsibility for CMI's shipments as a carrier and, therefore, operated as an (unlicensed) NVOCC in the U.S. trades. By operating in this capacity with respect to the CMI shipments, SBA subjected itself to Commission jurisdiction under the Shipping Act and was obligated to meet the Shipping Act requirements imposed on NVOCCs.

D. SBA Ignores the Facts in the Record

In its Summary of Argument, SBA asserts that CMI's 30(b)(6) designee did not understand SBA to be acting as an NVOCC. *See* SBA Brief at paragraph 2 on page 3. This statement is misleading at best. While Ms. Vega, as an unsophisticated shipper, Response to Statement of Fact No. 46, did not understand the legal nuances of the term "NVOCC," she did know that SBA was taking responsibility for the transportation of CMI's shipments and in so doing, SBA was acting, and holding itself out, as a carrier. Declaration of Maria Vega at ¶ 7; *see also* Mike Gallo Dec. at ¶¶ 4 and 5, Supplemental Exh. 4. Ms. Vega's understanding in this regard is confirmed by the deposition testimony of Bryan Tincher, the primary contact person between SBA and CMI, who testified that SBA assumed responsibility for the delivery of CMI's cargo, which responsibility continued until the cargo was delivered to its ultimate destination. Tincher Dep. at 31:15-21; 33: 18-22. Indeed, SBA admitted that it never told CMI that it was not assuming responsibility for the transportation at issue. Response to Statement of Fact No. 48 (ADMITTED).²²

Further, while Ms. Vega was confused – as was CMI counsel – by SBA's line of questioning as to how CMI used the bills of lading SBA issued to CMI, Ms. Vega was crystal clear in her testimony that the bill of lading was evidence of a contract of carriage between CMI and SBA. When specifically asked whether the SBA sent CMI its bill of lading to reflect and evidence contracts of carriage, Ms. Vega responded: "Yes, they were delivering our product." Vega Dep at 168:21-169:5.²³ Finally, when asked whether the SBA bills of lading demonstrated that SBA was acting as an NVOCC, Ms. Vega reiterated, "they were responsible for delivering

²² CMI's Proposed Finding of Fact No. 10 stated that SBA represented that it could provide the same type of service as UTI (which is an NVOCC). While denying the proposed finding, SBA stated that Mr. Tincher had testified that SBA provided "essentially" the same service as UTI.

²³ Ms. Vega further asked rhetorically, why would they not serve as contracts of carriage. *Id.* at 169:7-8.

our product.” *Id.* at 169:19-21. Thus, the actual evidence in the record definitively establishes that SBA assumed responsibility for the transportation at issue, issued bills of lading to CMI for that transportation and that those bills of lading adding were recognized as contracts of carriage by CMI. Given these indisputable facts, SBA’s argument that it is not subject to FMC jurisdiction is baseless.

Untethered by the need to support its assertions with evidence in the record, SBA also asserts in its Summary of Argument that SBA never assumed responsibility for the transportation as an NVOCC. In fact, however, that is exactly what Bryan Tincher testified. Tincher Dep. at 31:15-21; 33: 18-22. In fact, he testified under oath that SBA assumed responsibility for the delivery of CMI’s cargo and that this responsibility continued until the cargo was delivered to the ultimate destination. (SBA “would be responsible for transportation of goods to ultimate destination.”) Tincher Dep at 35:7-10.²⁴ Thus, SBA’s assertion is demonstrably false.

Again, in its Summary of Argument, SBA asserts that SBA never stated that it would perform the same functions as UTI. In the actual deposition, however, when Mr. Tincher was asked about the submitting to CMI what he titled a SBA tariff, he responded as follows:

Q. Essentially, though you were saying, “Listen we provide the same type of services as UTI, right?”

A. Yes.²⁵

The evidence in the record that SBA never informed CMI that it was not assuming responsibility for transporting CMI’s cargo from China to the United States is further corroborated by the sworn testimony of Mike Gallo, the founder and President of CMI. Declaration of Mike Gallo at ¶ 5, Supplemental Exh. 4. Indeed, Mr. Gallo recognized that if

²⁴ SBA does not dispute that Mr. Tincher so testified but objects on the grounds that it is a legal conclusion.

²⁵ Tincher Dep at 67:8-11. Thus, far from being egregiously inaccurate and misleading as SBA suggests in its Brief at page 15, in fact, CMI’s conclusion accurately reflects Mr. Tincher’s testimony.

SBA merely had been acting as an intermediary, and not assuming responsibility for transporting CMI's cargo from China to the United States, SBA could not have refused to release CMI's containers in its possession – even when the suppliers of the contents of the containers had been paid, and there were no outstanding charges owing. *Id.* at ¶ 6.

SBA next asserts that SBA never indicated that it would be responsible for cargo claims. SBA Brief at page 26. In fact, however, Bryan Tincher testified that if there was damage to CMI's cargo, he would tell CMI to submit a claim to SBA to get credit for its damages. Tincher Dep. at 28: 1-12.

SBA has a lengthy recitation of “facts” at pages 20-21 of its Brief where it contends that CMI requested that SBA calculate a “fixed per diem demurrage rate” even though CMI was told by SBA that this was a “bad idea.” SBA asserts that because CMI insisted that SBA bill it that fixed amount, SBA apparently reluctantly agreed to bill CMI \$300 per day for demurrage. SBA cites, at footnote 86, the “Zasada Declaration” as support for this fabulous tale. Nowhere does the Zasada Declaration, however, even reference this issue. Further, the contemporaneous documentation refutes this assertion. Far from showing that the demurrage rate of \$300 per day was set at CMI's request, an email of March 27, 2015 reflects that CMI asked SBA what the rate was per day for demurrage. *See* email attached as Supplemental Exh. 5. Bryan Tincher of SBA respond that the “Rate is \$300.00 per day.” If the rate actually had been set at CMI's request, CMI would not have had to ask what the rate was.

Finally, at page 21 of its brief, SBA asserts that CMI's 30(b)(6) witness did not deny CMI had entered into an agreement with SBA to pay \$300 per day in demurrage charges. A review of the cited transcript, however, at best establishes that someone at CMI may have asked for an “*estimate* of future demurrage” and that at some point SBA began invoicing CMI that

amount. Such inconclusive testimony cannot overcome the contemporaneous documentation reflecting that SBA affirmatively misrepresented that it was simply passing through demurrage costs and there was no mark up at all. See Vega Declaration at ¶61; Exh. A-5 (“We paid demurrage up to June 18 and this is what you are billed for”).

E. SBA’s Improper Exercise of Lien and Refusal to Release Cargo

SBA relies upon the Zasada Declaration for the proposition that it never asserted a “carrier lien” on the cargo. While SBA may not have used the term “carrier lien” there can be no legitimate dispute that that was exactly what it was doing when it refused to release cargo in its possession until it was paid purportedly owed “demurrage” on unrelated shipments. SBA admits that for some containers, even though the supplier had been paid and the containers were ready for release, and even though there were no unpaid charges due on those shipments, SBA refused to release the containers until it was paid demurrage charges on other, unrelated shipments. Response to Statement of Fact No. 140 (Admitted). While disputing the exact number of containers it held hostage and the exact amount of ransom CMI had to pay for their release,²⁶ SBA further admits that it demanded payment on what it called “demurrage” that had accrued on other containers that SBA was billing at a rate of \$300 per day (which is far in excess of what any valid tariff would have allowed). Response to Statement of Fact No. 142 (Admitted). Finally, SBA admits that CMI had to pay SBA \$178,962.74 to purchase the release of some of its 15 containers *so that CMI could continue to operate*. Response to Statement of Fact No. 143 (Admitted). (emphasis supplied).

In the face of these undisputed facts, SBA baldly asserts that it did not physically possess the cargo, SBA Brief at page 17, and thus presumably could not have imposed a lien. This

²⁶ SBA failed to cite any evidence refuting that it was 15 containers that it refused to release until CMI was paid \$267,000. See SBA response to CMI SoF No. 142.

assertion has no merit. The CMI shipments were delivered to SBA by the third party NVOCCs to which Las Freight co-loaded them and were in the possession of SBA or one of its agents, such as Freight Tech, until delivered to CMI or CMI's customer. Further, *having affirmatively represented that it would not release goods in its possession until it was paid, and then acted upon the threat, SBA cannot now legitimately contend that it never had the goods in its possession.*²⁷

Zasada and SBA's suggestion that SBA should not be held responsible for its actions because CMI paid the amounts sought "without protest," is even more astounding. See Zasada Declaration at ¶ 18. Having threatened that it would not release CMI containers in its possession until charges for unrelated shipments were paid – which containers were needed for CMI to continue to be able to remain in business – SBA cannot now legitimately contend that its fraudulent actions should be ignored because CMI voluntarily made the payments at issue. This is analogous to a bank robber asserting her innocence because that the teller handed over the cash without protest "once I pointed a gun at her head." In fact, that is exactly what Ms. Vega testifies. ("it felt like you know, SBA was putting a gun to CMI's head and saying: Until you come due with our payments, we're not releasing your product or your containers." Vega Dec. at 94: 19-24).

Finally, even if CMI was sufficiently duped by SBA's false assertions that SBA was merely passing through unmarked up "demurrage" charges being assessed by steamship lines,

²⁷ SBA's assertion that it did not ever assert, or threaten to assert, a lien on the cargo, SBA Brief at 19-20, is especially baseless given that on at least eight occasions, SBA falsely asserted to CMI that steamship lines were prepared to seize the containers at issue. CMI Statement of Fact No. 133. Further, for SBA to now assert that at although no valid demurrage charges existed, it was not misleading for them to do so because it was using a colloquialism for SBA's co-loaders highlights SBA's continued lack of candor. The simple truth is that SBA charged CMI \$300 a day for demurrage charges, when the only amount that even arguably could have been assessed, was \$25 a day for Freight Tech's storage, and even those charges do not appear to have been filed in a Tariff belonging to either Las Freight or SBA.

and thus did not protest, the Shipping Act is clear that a carrier may only assess freight and additional charges related to the transportation services provided, such as demurrage and detention, that are reflected in a valid and applicable tariff. 46 U.S.C. §41104(2)(A). Having failed to do so here, CMI is entitled to recover the amounts it was overcharged.

F. SBA Acted as a Principal

In the telephone conference on May 14, 2018, the Presiding Judge suggested that perhaps SBA was acting as CMI's agent for the shipments at issue. There is no evidence in the record to support such a conclusion. Indeed, if SBA were acting as CMI's agent, it would not have issued bills of lading. Further, to be an agent of CMI, SBA would have to have been acting in CMI's interest and on its behalf for the shipments at issue. SBA was clearly not acting in CMI's interest when it misled CMI about key elements of the transportation at issue (*e.g.*, who was providing the services; what charges were being assessed and in what amounts, etc.) for SBA's own benefit, or when SBA refused to release containers in its possession even after all freight and related charges had been paid. SBA was clearly acting as a principal throughout these transactions for its own account and for its own benefit.

Further, all charges assessed CMI by SBA were for services or fees that were performed or accrued, respectively, before the shipments were delivered to CMI or its customer designated on the bill of lading. The evidence demonstrates that SBA delivered all shipments to the consignee's address as set forth on the bill of lading and that all of these deliveries were made by SBA for its own account. *See, e.g.*, Joint App. Folder 17, Docs. JA00087 (proof of delivery from local drayage company to consignee Ulta DC showing SBA as customer and SBA's bill of lading number as the reference) and JA00092 (SBA bill of lading showing Ulta Dist as consignee); Folder 42, Docs. JA00284 (bill from local drayage company for delivery to CMI

showing SBA as the bill to party and SBA's bill of lading number as the customer reference number) and JA00273 (SBA bill of lading showing CMI as the consignee). Because the charges and services occurred during the through ocean transportation from China to the consignee's door they are all subject to the Commission's jurisdiction under the Shipping Act.²⁸

G. Source of Demurrage Claims

SBA puts great emphasis on the fact that some of the charge at issue arose because CMI did not timely pay its suppliers in China. CMI does not dispute that, in some instances, this is true. The undisputed facts, however, also establish that, in many instances, even after CMI paid its invoice costs to suppliers in China, SBA would not authorize release of cargo until CMI paid (fraudulent) demurrage charges on unrelated shipments. Response to Statement of Fact No. 140 (Admitted). Quite simply, the fact that CMI may not have been timely in making some payments to its suppliers does not justify SBA in: 1) billing CMI for nonexistent demurrage charges; 2) billing CMI for charges not reflected in a valid applicable tariff; or 3) gouging CMI by imposing draconian mark up charges.

H. Evidence of SBA's Fraud is Unrefuted

In a classic understatement, SBA asserts that its use of the term "demurrage" in the hundreds of thousands of dollars in invoices that it billed CMI was "perhaps inartful." SBA Brief at page 19.²⁹ Despite the fact that it is a multi-million dollar full service logistics provider

²⁸ The notion that the shipments at issue were completed and thus no longer within the Commission's jurisdiction is further belied by the fact that many of the invoices issued by Freight Tech expressly state (incorrectly) that they are charging for demurrage on behalf of specified steamship lines, such "demurrage – *MSC Container*," "Demurrage on Cosco Container," "Demurrage [NYK Line]," or "Demurrage Pacific Lines Container." See, e.g., Folder 25 (JA00167), Folder 43 (JA00304), Folder 46, (JA 00361), and Folder 50 (JA00394). If the ocean transportation had been completed, no such charges would continue to accrue.

²⁹ SBA admits that although it billed, and collected, hundreds of thousands of dollars in demurrage charges from CMI, CMI did not actually owe any money for demurrage. Tincher Dep. at 43: 1-7; 43-21-44:6.

that provides air and ocean transportation services,³⁰ SBA attempts to shift the blame for its misbilling to one of its truckers – “[a]s Freight Tech used that term in its invoices to SBA, SBA used it in invoicing CMI.” *Id.* This effort to shift the blame is specious as SBA clearly understood, or at a minimum should have understood, the meaning of the term “demurrage;” indeed, on some occasions SBA billed CMI for detention instead of demurrage, JA00025, or was billed by its drayage company for detention (JA00061). Moreover, SBA clearly represented to CMI that the demurrage charges being assessed (and the threat to exercise carrier liens) were being made on behalf of steamship lines. CMI Statement of Fact Nos. 132-133. Having itself affirmatively, and repeatedly, asserted that steamship lines were going to seize CMI containers due to unpaid demurrage charges, CMI Statement of Fact Nos. 132-133, SBA cannot now argue that it mistakenly relied upon Freight Tech’s invoices in billing CMI for demurrage, particularly given that containers had been received from and returned to the steamship lines on a timely basis and thus the steamship lines would have had no articulable basis for asserting demurrage (or detention) claims. CMI Statement of Fact Nos. 88, 89, 90, 103, 104,105.

The plain truth is that SBA deliberately and fraudulently billed CMI for approximately \$400,000³¹ in demurrage charges despite the fact that CMI did not actually owe any money for demurrage. CMI Statement of Fact No. 90. The evidence further reflects that this was not the result of a mistake on SBA’s part but instead part of a deliberate and intentional pattern of deception. While SBA half-heartedly suggests that maybe its employees or the truckers it hired were confused as to the meaning of the term demurrage and were actually only billing for the truckers’ storage costs, the record reflects that CMI was repeatedly billed for what was referred

³⁰ Response to Statement of Fact No. 6 (Admitted).

³¹ Only \$248,750.50 of that \$400,000 in fictional demurrage is within the FMC’s jurisdiction.

to by Freight Tech as “demurrage – *MSC Container*,”³² or “Demurrage on Cosco Container,” or “Demurrage [NYK Line],” or “Demurrage Pacific Lines Container.” SBA admits there was never a time when the containers at issue were in the steamship lines’ possession for any extended period of time after their arrival at port. Response to Statement of Fact No. 86 (Admitted). Instead, containers were immediately taken out of the steamship line’s possession. *Id.* Thus, neither SBA nor Freight Tech could reasonably have been confused as to the legitimacy of the charges assessed. Indeed, the unrefuted record reflects that CMI was charged for extended periods of time when the containers at issue had been emptied and returned to the steamship line. CMI Statement of Fact No. 105; Exh. F1 (Folder 33³³ – CMI charged for 31 days despite fact that MSC container gated out on February 23, 2015, and gated in on February 26, 2015 – and MSC allowed for four days of free time);³⁴ (Folder 44 – CMI charged for 81 days despite fact that container gated out on March 23, 2015 and gated in on March 24, 2015); (Folder 53 – CMI charged for 56 days despite fact that container gated out on March 25, 2015 and gated in on March 31, 2015); Folder 54 (CMI charged for 55 days despite fact that container gated out on April 21, 2015 and gated in on April 23, 2015).³⁵

Further, the notion that SBA or Freight Tech was charging CMI for storage when it invoiced CMI for demurrage is belied by the fact that, as reflected in Freight Tech’s invoices, Exh. A7, CMI was charged for steamship line demurrage *and* yard storage. Indeed, the undisputed record confirms that Freight Tech was invoicing CMI for demurrage (often at \$100 per day) and for yard storage, and then SBA was charging CMI \$300 per day for fictional

³² See, e.g., Folder 25 (JA00167), Folder 43 (JA00304), Folder 46, (JA00361), and Folder 50 (JA00394).

³³ The expert report erroneously referred to this as Folder 22.

³⁴ Thus, no matter whether the bills are characterized as demurrage or detention, there should have been no charge assessed. CMI Statement of Fact No. 105.

³⁵ The dates for which CMI were charged are reflected in Revised Exh. 1.

demurrage charges. *See, e.g.*, Folder 25 (JA00171) showing SBA billing CMI for \$21,9000 in container demurrage with (JA00167) showing SBA being billed by Freight Tech for \$11,275 (including chassis charges, demurrage and yard storage); Folder 27 (JA00193) showing SBA billing CMI for \$14,300 for container demurrage with (JA00187) showing SBA being billed by Freight Tech for \$8,075) (including chassis charges, demurrage and yard storage). SBA imposed these exorbitant mark ups while simultaneously representing that there were “no mark ups” and that the “demurrage charges it was assessing were straight pass through costs from steamship lines.” CMI Statement of Fact No. 123; Exh. A-5 (“We paid demurrage up to June 18 and this is what you are billed for”).

I. CMI’s Damages

As reflected in CMI’s Opening Brief, the law is clear that freight and ancillary rates may only be collected pursuant to a valid, published tariff, and tariff adherence requirements are strictly enforced. *Sea-Land Service, Inc. v. Murrey & Son’s Co., Inc.*, 824 F.2d 740, 741 (9th Cir. 1987). Accordingly, here, the calculation of CMI’s damages should begin, and end, with a recognition of the fact that SBA acted as an unlicensed NVOCC and in doing so charged CMI in excess of \$248,000 in demurrage charges which were not reflected in a tariff published in accordance with the Shipping Act. Acting as an unlicensed NVOCC without a tariff, SBA also charged CMI \$29,185.58 in marked up freight charges that were not in compliance with rates contained in a valid tariff. *See* Supplemental Exh. 8.

An award of the entire amount that CMI paid SBA for fictional demurrage is fully warranted here, given SBA’s intentional and deliberate pattern of misconduct in refusing to meaningfully address or refute CMI’s damage claims and its refusal to respond to discovery requests in this regard. In response to a CMI Interrogatory seeking the amount of its surcharges

for demurrage, detention, per diem or storage, SBA answered that because of the “complexity” of its relationship with CMI, SBA could not provide such information. Response to Statement of Fact No. 148. In his deposition, however, Mr. Zasada admitted that he could determine “exactly” the amount of profit SBA made on the CMI accounts. Response to Statement of Fact No. 149 (Admitted). Such information has not been provided, however. The unfortunate truth is that SBA has wholly ignored its obligation to be candid and truthful in this entire proceeding.³⁶

To the extent that the Presiding Judge allows SBA, nonetheless, to recover amounts it paid to third parties, despite the fact that such charges were inaccurately described as “demurrage,” and despite the fact that they are not reflected in a valid tariff, CMI is entitled to recover, at a minimum, the amount that: 1) SBA’s expert, Steve Ferreira, calculated that CMI was overcharged. Exh. F-1 (\$65,494.50);³⁷ and 2) the amount that CMI marked up demurrage charges for other shipments not addressed in Mr. Ferreira’s Expert Report (Supplement Exh. 7) (\$88,373.50), which total \$153,868.

Mr. Ferreira’s Expert Report reflects that for 11 of the containers at issue that were transported by MSC for which container data is available in MSC’s automated container tracking system, CMI was assessed \$93,589 in what SBA inaccurately described as demurrage charges. Exh. F.³⁸ Pursuant to MSC’s tariff, however, the amount that could have been charged under the MSC tariff was only \$29,660. *Id.* This overcharge was partly due to the fact that the number of days for which the charge was assessed by SBA was often incorrect and seriously inflated. *Id.*

³⁶ Perhaps most incredible is the fact that although no actual evidence has been proffered in this regard, SBA asserts in the Brief that it “estimates” that its surcharge on demurrage charges was approximately 20%. Estimates lacking any foundation are not evidence.

³⁷ Due to a slight mathematical error, the actual amount of damages based upon the Ferreira Expert Report is, as reflected in Supplemental Exh. 6, \$65,494.50.

³⁸ A chart reflecting those overcharges is attached as Supplemental Exh 6.

Indeed, the Expert Report shows that SBA billed CMI for extended periods for the purported use of steamship line containers after they had been returned to the steamship line. *Id.*

The amount that CMI was overcharged was also a product of the fact that CMI was charged at rates higher than those set forth in the VOCCs' tariffs. Mr. Ferreira's Report establishes that although the basis for the "demurrage" charges assessed against CMI were not clearly articulated by SBA, CMI was charged at rates in excess of \$300 per hour, which was far in excess of the steamship lines' tariff rates. *See, e.g.*, Folder 33 (31 days X \$309.67 = \$9,600).

For many of the shipments at issue, however, Mr. Ferreira was unable able to determine the dates when specific containers at issue were gated out and gated in because VOCCs do not maintain information in their container tracking systems that date back to the time period at issue. *Id.*

In order to calculate the amount that SBA overcharged CMI in demurrage for the remaining shipments it transported for CMI, CMI has calculated the amount that SBA marked up what SBA improperly termed demurrage for shipments not included in Mr. Ferreira's Report. For those shipments, CMI calculated the amount it was charged by SBA in excess of the amounts reflected in underlying invoices from SBA's transportation providers, which primarily was Freight Tech and other drayage companies. Given that SBA concedes that it does not have a tariff, such mark ups were not reflected in a valid tariff and thus are recoverable by CMI. The chart attached as Supplemental Exh. 7, reflects these overcharges in the amount of \$88,373.50.

Column A of the chart attached as Supplemental Exh. 7, shows the amount CMI paid to SBA for what SBA improperly termed demurrage.³⁹ Columns B, C, D and E of the chart reflect the amounts SBA was invoiced by drayage companies, and other transportation providers, for

³⁹ In one instance, Folder 9, SBA charged CMI \$1,535 for detention.

“demurrage,” storage, detention or per diem charges.⁴⁰ Column F reflects the amount of the mark up that SBA imposed upon CMI. In instances where SBA failed to produce any underlying documents, such as an underlying invoice reflecting its underlying disbursement, CMI treats the entire amount it paid to SBA as a mark up.⁴¹

Both the Ferreira Report damage calculations and the damage calculations reflected in Supplemental Exh. 7, clearly underestimate the amount that CMI was overcharged by SBA. As reflected above, Mr. Ferriera was only able to track 11 of the shipments at issue. Of these, he was able to confirm that there was no basis for any demurrage charge on four of them (36%). Thus, SBA’s charges for their shipments were entirely fraudulent and no demurrage or detention whatsoever was owed because the containers immediately had been returned to the steamship line. See Folder Nos. 33, 44, 53 and 54. Given these facts, it is extremely implausible that no such fraud was perpetrated on the remaining 17 shipments at issue. Because both the Ferreira Report and Supplemental Exhibit are predicated on the assumption that the underlying demurrage charges assessed have a factual basis, the actual amount CMI was overcharged is almost certainly much higher than the \$65,494.50 reflected in the Ferreira Report (Supplemental Exh. 6) and the \$88,373.50 shown in Supplemental Exh. 7.

In assessing the proper amount of reparation to which CMI is entitled in this regard, the Presiding Judge should make the presumptive inference that the outright fraud perpetrated was not limited to the four shipments identified by Mr. Ferreira and require full reparations in order

⁴⁰ In its calculations, CMI includes chassis charges from the underlying drayage companies as part of ancillary charges such as demurrage, detention, or storage. Fuel charges are not treated as part of such charges because they are more commonly recognized as a component of freight charges.

⁴¹ This treatment is fair given that, as reflected above, despite repeated inquiries from CMI, SBA has refused to provide details regarding the amount of the markup of the demurrage or storage charged to CMI on the shipments at issue. Further, it is noteworthy that some of the Folders in which there are no underlying invoices correspond with shipments in which demurrage was charged despite the fact that the containers were returned almost immediately to the steamship line and no demurrage or detention conceivably could have accrued.

to make CMI whole. *In re Worldwide Relocations, Inc.*, 2012 WL 11914713 at *6-8. Quite simply, under no circumstances should SBA be entitled to recover amounts it may have paid to underlying transportation providers, such as Freight Tech, when such charges are fraudulent.

Finally, in addition to charging CMI for demurrage and other ancillary charges not reflected in a valid tariff, SBA charged CMI for freight charges in excess of amounts reflected in a lawful tariff. As reflected in Supplemental Exh. 8, Column A shows the amount of freight charges that SBA paid for the transportation at issue. Column B reflects the amount of freight charges that CMI was assessed by SBA. Because SBA does not have a tariff, the larger amount recovered is not in compliance with rates contained in a valid tariff. The total amount of freight overcharges for which CMI is entitled to reparations is \$29,185.58

CMI further seeks its attorneys' fees in this proceeding. 46 U.S.C. §41305.

Dated: June 15, 2018

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CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressee at the address stated by electronic transmission, this 15th day of June 2018:

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Attorney for Respondents Service By Air, Inc. and Radiant Customs Services Inc.



Brendan Collins

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EXHIBIT 1

FREIGHT SHIPPING &
LOGISTIC SERVICESTHE SBA
ADVANTAGESBA
LOCATIONSINDUSTRY
EXPERTISE

HOME

WORK WITH SBA

CONTACT US

TRACK IT

SHIP IT

REQUEST A RATE QUOTE

VIEW REPORTS

RESOURCES

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TERMS AND CONDITIONS

Enter Zip Code



Terms and Conditions

SERVICE BY AIR, INC. TERMS AND CONDITIONS OF SERVICE

These Terms and Conditions of Service are effective **January 1, 2012** and are subject to change without notice. These Terms and Conditions supersede and replace all previous Terms and Conditions published by Service By Air, Inc.

The following TERMS AND CONDITIONS OF SERVICE shall apply to all services performed by SERVICE BY AIR, INC. and SBA CONSOLIDATORS, INC. and shall be binding on all customers, shippers, consignees, and third parties to or for whom SERVICE BY AIR, INC. and SBA CONSOLIDATORS, INC. provide services, as specified further in Section 3 below.

GENERAL TERMS AND CONDITIONS OF SERVICE

1. APPLICATION AND SCOPE

These Terms and Conditions of Service apply to all transportation and related services provided in interstate and intrastate commerce to, from or within the United States (and its territories), Canada, and Mexico and/or other foreign or international commerce by Service By Air, Inc. and SBA Consolidators, Inc. in accordance with their respective capacities set forth below:

- Service By Air, Inc. is a domestic (U.S.) and international air freight forwarder providing services as an indirect air carrier, including the issuance of house air waybills for individual shipments, assembly, consolidation and arrangement of transportation of goods via direct air carriers, pursuant to exemptions at 49 U.S.C. §§ 13531 and 13506(8).
- Service By Air, Inc. is also duly registered as a surface freight forwarder with the Federal Motor Carrier Safety Administration under Docket No. FF-005392 to provide ground transportation services via motor carriers selected by Service By Air, Inc.
- SBA Consolidators, Inc. is an Ocean Transportation Intermediary duly licensed as both a non-vessel operating common carrier (NVOCC) and ocean freight forwarder with the Federal Maritime Commission under License No. 009688.

2. DEFINITIONS

Unless otherwise provided for herein, the following terms are defined as follows:

"SBA", "we", "our" and "us" refer to **SERVICE BY AIR, INC. and/or SBA Consolidators, Inc. – Ocean Division**, and their respective employees, agents, successors, assigns, divisions, affiliates and any subcontractors hired by SBA.

"Customer" means the person, firm or company on whose behalf SBA has been hired to perform services, as well as the customer's agents and/or representatives and any principal on whose behalf it is acting.

"Shipper" or "consignor" means the person tendering goods to SBA for transport or storage and the person for whose account goods are being transported or stored, and any and all agents and/or representatives of the Shipper, including, but not limited to, secured parties, warehousemen, buyers and/or sellers, shipper's agents, insurers and underwriters, break-bulk

agents, and consignees.

"Consignee" or **"receiver"** means the person named as the "consignee" on any shipper's instructions, receipt, truck tag, waybill, bill of lading or other document, the owner of the Goods, and all other persons lawfully entitled to possession of the Goods upon delivery.

"You" and **"yours"** shall refer to our customer, the shipper/consignor, the receiver/consignee, their employees and agents and to all others with interest in the shipment.

"Waybill" means a non-Negotiable Waybill, Bill of Lading, Delivery Receipt or similar shipping document used to identify shipments tendered to SBA for transportation.

"Goods", "cargo", "items", "pieces", "products", "commodities" and **"shipment"** refers to articles of every kind or description, including their packaging, containers or other shipping units tendered to an accepted by SBA for transportation, storage and/or delivery as described or identified on the face of the Waybill.

"Prepaid" or **"PPD"** is a freight payment term meaning that the charges for transportation and other services rendered at the request of the shipper, or requested by the consignee for the shipper, are to be paid for by the shipper or its designated agent. Notwithstanding the shipper's primary responsibility for payment on a prepaid shipment, both the shipper and consignee are jointly liable for the payment of charges for transportation or other services because both the shipper and consignee receive the benefit of the services.

"Collect" or **"COL"** is a freight payment term meaning that the charges for transportation and other services rendered at the request of the consignee, or requested by the shipper for the consignee, are to be paid for by the consignee or its designated agent. Notwithstanding the consignee's primary responsibility for payment on a collect shipment, both the shipper and consignee are jointly liable for the payment of charges for transportation or other services because both the shipper and consignee receive the benefit of the services.

"Terms and Conditions" refers to these Terms and Conditions of Service which shall be published and maintained on SBA's website at <http://www.sbaglobal.com/terms-and-conditions/> and are otherwise available upon request.

"Conditions of Contract" refers to the Conditions of Contract appearing on the reverse-side of SBA's Waybill.

3. CONTRACTUAL AGREEMENT

A. These Terms and Conditions shall constitute a binding contract on all customers, shippers, consignees to or for whom SBA provides services. These Terms and Conditions supersede and negate any claimed, alleged or asserted oral contract, promise, representation or understanding among the parties with respect to services to be performed by SBA.

B. These Terms and Conditions shall apply to all services provided by SBA, except to the extent contrary to applicable federal or state law, rule or regulation, and/or except to the extent SBA otherwise specifically agrees, in writing.

C. If there is any conflict or inconsistency between these Terms and Conditions and our Waybill, the Conditions of Contract on the reverse-side of our Waybill, or any other bill of lading issued in connection with services provided by SBA, the Terms and Conditions contained herein shall control and govern.

D. No employee or agent of SBA is authorized to change, modify or waive any of these Terms and Conditions without the written consent of an authorized executive of SBA.

E. These Terms and Conditions are subject to amendment by SBA without notice. Any amendment to these Terms and Conditions shall be published on SBA's website at <http://www.sbaglobal.com>. Your continued use of SBA's services after publication of the amended Terms and Conditions on our website shall constitute acceptance of the amended Terms and Conditions.

4. ADVANCEMENT OF CHARGES

CM100145

A. Upon request, we will advance charges for cartage not performed by us, as well as customs and duties. For each Advancement of Charges, a service fee of \$1.00 per \$100.00 of the advance charge, or fraction thereof will be assessed, subject to a minimum advancement fee of \$5.00.

B. We will not advance charges on any shipment on which prepayment of charges is required unless the amount of such advances has been deposited in cash with us.

5. APPLICATION OF CHARGES

A. Except as otherwise provided for herein or in a separate written contract, transportation charges for a shipment will be assessed on the gross weight of the shipment based on the greater of:

1. the actual weight, or
2. the cubic dimensional weight determined in accordance with Sub-Section (E) of this rule.

B. Charges will be assessed on the basis of the service shown on the Waybill at the rates in effect on the day of acceptance of the shipment.

C. In computing charges, fractions will be rounded to the next higher cent.

D. Fractions of pounds will be assessed at the charge for the next higher pound. Fractions of kilograms will be rounded up to the next higher kilogram.

E. Shipments may be subject to a Dimensional Weight Charge (or "DIM" Factor) depending upon the weight, density and/or measurement of the shipment. To obtain a quote or for more details about the applicability of SBA's Dimensional Weight Charge, please contact your local SBA station.

F. All rates and fees are subject to change without notice.

6. CHARGES – PREPAID OR COLLECT

A. Shipments will be accepted with freight payment terms stated as prepaid (by the shipper) or collect (from the consignee), or when requested by the shipper or the consignee and subject to approval by SBA, the charges will be billed to a third party. If the third party should refuse payment for any reason, liability for payment shall revert to the shipper or consignee whichever requested third party billing.

B. All requests for changes in type of billing after delivery must be accompanied by a guarantee in writing of payment by the new payer and a fee of \$10.00 per revision will be assessed. Revisions will not be allowed when a reduction in the original rates occurs as a result of the change.

C. The following shipments must be prepaid by the shipper or billed to a third party:

1. Shipments addressed to United States Government agencies, unless shipped on Government Bill of Lading.
2. Shipments destined to exhibition grounds, parks, fairs or similar enclosures where admission is charged for entrance.
3. Shipments addressed to hotel guests.
4. Shipments addressed to any person and/or organization in care of another person and/or organization.
5. Shipments addressed to political organizations.

7. INVOICING AND PAYMENT OF CHARGES

A. Invoices for transportation and related charges shall be due and payable upon receipt, or at SBA's discretion on a "cash" or "collect" basis, unless you have established credit with SBA. SBA's standard credit period for the payment of invoices for transportation and related charges applicable to all customers that have established credit with SBA shall be thirty (30) calendar days from the date of our invoice and subject to the terms and conditions of our credit application, except as otherwise provided for herein or agreed upon in writing.

B. Invoices for duties, taxes and other charges advanced by SBA, to the extent such charges are

invoiced separately, are due and payable upon receipt of our invoice, unless otherwise agreed upon in writing. If transportation charges and charges advanced by SBA appear on the same invoice, all charges are due upon receipt of the invoice, unless otherwise agreed upon in writing.

C. Regardless of whether a shipment is billed prepaid, collect or to a third party, the customer, shipper, and consignee shall be jointly and severally liable for all transportation or related charges, plus any duties, taxes or other charges advanced by SBA, including any costs or expenses incurred in returning your shipment or storing your shipment.

D. In the event payment of invoices is not received within thirty (30) calendar days, or such other agreed upon credit period, such invoices will be considered past due and any payments made thereafter shall be considered a late payment. Past due invoices and late payments shall be subject to an interest charge of 1.5% per month added to all outstanding amounts (subject to a minimum interest charge of \$10) and such other late charges as may be applicable under the terms of our credit application. In the event it becomes necessary to commence a lawsuit to recover past due invoices or late payments, we will be entitled to recover reasonable attorneys' fees and costs incurred in the collection of these invoices.

E. Nothing herein shall limit the right of SBA to require prepayment or a guarantee of the transportation or other charges at the time of shipment or prior to delivery.

8. CHARGES FOR SHIPMENTS CONTAINING OVERSIZED AND UNUSUAL PIECES

A. Subject to authorized arrangements made prior to shipment, we will accept for transportation, shipments containing oversized pieces, as defined herein, which meet the conditions and limitations enumerated below, and we will base the appropriate charges on rating calculations described in Sub-section (C) below.

B. Piece Dimensions:

Shipments will be considered oversized to the extent the shipment contains pieces measuring in excess of 120 inches in length, or 88 inches in width, or otherwise restricted by their height/contour/profile from fitting onto a single standard 88"x125" pallet.

C. Rating Conditions:

1. The charges for shipments containing oversized pieces (defined in Sub-Section (B) above) shall be based on the higher of the following calculations:
 - a). the actual weight of the shipments; or
 - b). multiplying 4,000 pounds by the total number of pallets used (fully or partially). See (2) below for pallet dimensions.
2. The dimensions of the pallets to be used are:
 - o Width: 88 inches
 - o Length: 125 inches

9. CHECK TO SHIPPER (C.T.S.) / COLLECT ON DELIVERY (C.O.D.) SHIPMENTS

A. **APPLICABILITY OF CHECK TO SHIPPER (C.T.S.) SERVICE.** Check to Shipper (C.T.S.) service (*also known as Collect On Delivery (C.O.D.) Service*) will be provided only for shipments moving within the United States and Puerto Rico and shall be subject to the following conditions:

1. The amount of the C.T.S. must be entered on the Waybill by the shipper in the space provided.
2. The letters C.T.S. (or C.O.D.) must be legibly and durably marked, by the shipper, on each piece of a C.T.S. shipment. The markings must also show the number of pieces in the shipment.
3. THE FULL AMOUNT OF THE C.T.S. MUST BE PAID BY THE CONSIGNEE'S CHECK MADE PAYABLE TO THE SHIPPER. SBA'S SOLE RESPONSIBILITY SHALL BE TO ACCEPT THE CONSIGNEE'S CHECK AND EXERCISE DUE CARE AND DILIGENCE IN MAILING IT TO THE SHIPPER. THE CHECK WILL BE MAILED TO THE SHIPPER WITHIN TEN (10) BUSINESS DAYS AFTER RECEIPT BY US. WE SHALL HAVE NO RESPONSIBILITY OR LIABILITY WITH RESPECT TO PAYMENT OF THE CHECK. ALL RISKS RELATED TO CONSIGNEE'S CHECK SHALL BE ASSUMED BY THE SHIPPER, INCLUDING BUT NOT LIMITED TO NON-PAYMENT, FRAUD OR MISREPRESENTATION. OUR CHARGE FOR THE C.T.S. SERVICE OR ANY OTHER CHARGE PAYABLE TO US MUST NOT BE INCLUDED IN THE CONSIGNEE'S CHECK PAYABLE TO THE SHIPPER.

4. Transportation charges, the fee for the C.T.S. service, or any other charges payable by the consignee on delivery shall be made by check payable to us separate from the check payable to the shipper for the C.T.S. amount.

5. The disposition of refused or unclaimed C.T.S. shipments may be arranged for by the shipper in the following manner:

- a). by instructions placed on the Waybill at the time of shipment; or
- b). by written order to us at origin, SBA will then transmit such instructions to destination at the expense of the shipper.

6. C.T.S. shipments refused or unclaimed by the consignee will be held subject to storage charges. If written disposal instructions as prescribed in Sub-Section 5(b) above are not received by us within thirty (30) days after notice has been given to the shipper that the shipment has been refused or unclaimed by the consignee, such shipments will be returned by us to the shipper at the shipper's expense.

7. A charge of 3% of the C.T.S. amount, or fraction thereof, subject to a minimum charge of \$10.00 per shipment will be assessed for obtaining and mailing the consignee's check.

B. SERVICE AREAS WHERE C.T.S./C.O.D. SERVICES ARE NOT AVAILABLE. We will not provide C.T.S./C.O.D. service on the following types of shipments:

1. Shipments requiring prepayment or guarantee of transportation charges.
2. Shipments on which the C.T.S. amount is greater than \$50,000.00 (USD).
3. If the C.T.S. amount is less than the transportation charges and C.T.S. fee.
4. Shipments moving via Same Day Service.
5. Shipments of perishable commodities.
6. Shipments to or from points outside the United States.

10. DANGEROUS GOODS/HAZARDOUS MATERIALS

A. Shipper must call the SBA facility handling the shipment and provide details of the type of Dangerous Goods/Hazardous Material they are proposing to ship with SBA. SBA retains the right to refuse any shipment.

B. Dangerous Goods/Hazardous Material means those commodities, which are transported in accordance with the provisions set forth in the rules and regulations in:

1. Title 49 of the U.S. Code of Federal Regulations ("CFR"), revisions thereto or reissues thereof.
2. The "Dangerous Goods Regulations" published by the International Air Transport Association ("IATA"), revisions thereto or reissues thereof.
3. The International Civil Aviation Organization ("ICAO") "Technical Instructions for the Safe Transport of Dangerous Goods by Air" published by ICAO, revisions thereto or reissues thereof.
4. The "International Maritime Dangerous Goods (IMDG) Code" published by the International Maritime Organization, revisions thereto or reissues thereof.

C. If SBA accepts for transport the shipment, then the shipper must comply with all of the rules and regulations set forth in:

1. Title 49 of the U.S. Code of Federal Regulations ("CFR"), revisions thereto and reissues thereof.
2. The "Dangerous Goods Regulations" published by the International Air Transport Association ("IATA"), revisions thereto and reissues thereof.
3. The International Civil Aviation Organization ("ICAO") "Technical instructions for the Safe Transport of Dangerous Goods by Air" published by ICAO, revisions thereto or reissues thereof.
4. The "International Maritime Dangerous Goods (IMDG) Code" published by the International Maritime Organization, revisions thereto or reissues thereof.

D. If the shipment contains Dangerous Goods/Hazardous Material, the shipper shall have the responsibility to so state on the Waybill and shall also submit a signed Shipper's Declaration for Dangerous Goods/Hazardous Materials.

E. All shipments of Dangerous Goods/Hazardous Materials between points in the United States will be assessed a minimum service charge of \$30.00 per shipment for handling and transportation of such goods in addition to all other applicable charges.

F. All shipments of Dangerous Goods/Hazardous Materials to, from or between points outside the United States may be subject to additional service charges for handling and transportation of

dangerous goods. SBA shall determine the amount of such charges, which may vary depending upon, among other things, the nature of the goods, the origin, the destination and the mode of transportation.

G. Shipper agrees to be in compliance with all State and Federal statutory requirements with respect to shipping Dangerous Goods and/or Hazardous Materials.

11. TSA REGULATIONS

All cargo tendered for air transportation is subject to Aviation Security Controls, regulations of the Department of Homeland Security/Transportation Security Administration ("TSA"), and when appropriate, other government regulations. Copies of all relevant shipping documents showing the cargo's consignee, consignor, description and other relevant data will be retained on file for at least thirty (30) days. TSA, which has authority over the security and safety of the transportation systems within and connecting to the U.S., has instituted regulations and amendments that govern the movement of cargo. All shippers requesting air transportation services must comply with all applicable TSA regulations, as well as SBA's policies and procedures. In the event you fail to comply with any applicable regulations, policies or procedures, we cannot ensure requested service levels or that your shipment will be transported via aircraft, and we reserve the right to use alternate means to deliver your shipments. If you have any questions about transporting shipments by air or applicable regulations, policies or procedures, please call your local SBA facility to speak with a customer service representative.

12. INSPECTION OF SHIPMENTS

A. General – All Shipments. We may, but shall not be obligated to, inspect any shipment. Additionally, all shipments may be subject to inspection by:

1. The carrier[s] or their agent[s]
2. Government officials
3. Personnel authorized by the government to inspect shipments.

B. Inspection of Air Shipments. In accordance with TSA regulations all shipments transported on aircraft are subject to inspection or being searched by SBA, its agents, government officials or other authorized personnel to ensure the security and safety of any aircraft and its passengers. If you do not consent to the search or inspection of your cargo it cannot be offered for transport or be transported on any aircraft.

13. LIABILITIES NOT ASSUMED

A. Except as may otherwise be prohibited by law, we shall not be liable to the shipper or to any other person for any mis-delivery, missed pickup, non-delivery, delay, damage or loss of whatever nature arising out of or in connection with the shipment or other services performed by us, unless such damage is proven to have been caused by our negligence and there has been no contributory negligence on the part of the shipper, consignee or other claimant.

B. Without limiting the generality of Sub-Section (A), we shall not be liable for any loss, damage, mis-delivery, non-delivery, or other result caused by or resulting in:

1. The act, default or omission of the shipper, consignee or any other party claiming an interest in the shipment including, but not limited to, incorrect declaration of cargo, improper or insufficient packing, securing, marking or addressing of your shipment, or for the acts or omissions of the recipient.
2. The nature of the shipment or any defect, characteristics or inherent fault thereof.
3. Failure of the shipper or consignee to observe any of the rules contained in these Terms and Conditions.
4. Acts of God, weather conditions, mechanical delay of aircraft or other equipment failures, perils of the air, public enemies, public authorities acting with actual or apparent authority, acts or omission of custom officials, authority of law, quarantine, war, riots, strikes or civil commotion.
5. Acts or omissions of any person other than us including delivery instructions from the shipper or consignee complied with by us.
6. We cannot guarantee delivery by a specific time or date and shall not be liable for special or consequential damages due to delay, mis-delivery or non-delivery. Our liability shall be limited to a refund of the shipping charges in the event of a delay.
7. Erasure of data from or the loss or irretrievability of data stored on magnetic tapes, files or other storage media, or erasure or damage of photographic images or soundtracks from

exposed film.

8. The loss of any personal or financial information including, but not limited to, social security numbers, dates of birth, driver's license numbers, credit card numbers and financial account information.

9. Shipments released without obtaining a signature at residential addresses, and at nonresidential addresses if a signature release is on file.

C. Our liability shall in no event exceed that as set forth in the Limitations of Liability provisions contained herein.

14. LIABILITY FOR CHARGES AND INDEMNIFICATION

A. The shipper and consignee shall be liable, jointly, and severally, for all unpaid charges payable on account of a shipment including, but not limited to, sums advanced or disbursed by us on account of such shipment.

B. The shipper and consignee shall be liable, jointly and severally, to pay or indemnify and hold us harmless for all claims, fines, penalties, damages, costs or other sums which may be incurred, suffered or disbursed by us for any violation of any of the rules contained herein, or any other default of the shipper or such other party with respect to a shipment, or as a result of any negligent act or omission of the shipper or consignee.

15. LIENS ON SHIPMENTS

We shall have a lien on the shipment for all sums due and payable to us including past due charges. In the event of non-payment of any sum payable to us, the shipment may be held by us and be subject to storage and/or disposed of at public or private sale, with notice to shipper or consignee, paying us out of the proceeds of such sale all sums due and payable to us including storage charges. The shipper and/or consignee shall continue to be liable for the balance of any unpaid charges payable on account of the shipment.

16. LIMITATIONS OF LIABILITY

A. Air and Ground Shipments. Our liability for loss or damage claims for air and ground shipments shall be as follows:

1. Air and Ground Shipments. Our liability for loss or damage to any air and/or ground shipment in the U.S., Canada or Mexico is limited to \$0.50 per pound multiplied by the number of pounds of each piece(s) of the shipment which may have been lost or damaged (but not less than \$50.00 per shipment), or the actual value of such piece(s), whichever is less, unless you declare a higher value for carriage and pay an additional charge for excess liability, subject to a maximum of \$25,000.00 per shipment. If you declare a higher value and pay an additional charge (see Section 16.D.), our liability will be the lesser of your declared value or the actual value of your shipment. Determination of our limit of liability on any shipment shall be based on the weight of the package or packages lost or damaged.

2. Canadian Ground Shipments. For loss or damage to any Canadian intra-provincial or inter-provincial ground shipment and/or any interstate ground shipment to the U.S. or Mexico originating from Canada where the loss or damage occurs within Canada our liability is limited to \$2.00 (CDN) per pound or \$4.41 (CDN) per kilogram multiplied by the weight of each piece(s) of the shipment which may have been lost or damaged, or the actual value of such piece(s), whichever is less, unless you declare a higher value for carriage and pay an additional charge for excess liability, subject to a maximum of \$25,000 per shipment. If you declare a higher value and pay an additional charge (see Section 16.D.), our liability will be the lesser of your declared value or the actual value of your shipment. Determination of our limit of liability on any shipment shall be based on the weight of the package or packages lost or damaged. To the extent it cannot be determined that the loss or damage occurred within Canada on an interstate shipment originating from Canada, then such loss or damage will be deemed to have occurred within the United States and be subject to the limits of liability set forth in Section 16.A.1. above.

B. International Air Shipments. The International carriage of shipments by air may be subject to the Warsaw Convention (1929), as amended at The Hague (1955) and as further amended by Montreal Protocol No. 1, 2 or 4 (collectively referred to as the "Warsaw Convention") or the Montreal Convention of 1999 ("Montreal Convention"). Our liability for loss or damage to international air shipments shall be limited in accordance with applicable law as follows:

1. Regardless of whether the Montreal Convention applies to your shipment, SBA's liability for loss, damage or delay of a shipment shall be limited to 19 Special Drawing Rights (SDRs) per kilogram, unless you declare a higher value for carriage and pay an additional charge for such excess liability.
2. In the case of loss of, damage or delay to part of the cargo, the weight to be taken into account in determining SBA's limit of liability shall be only the weight of the package or packages concerned.
3. In the case of loss of, damage or delay to a shipment, the weight to be used in determining SBA's limit of liability shall be the weight that is used to determine the charge for carriage of such shipment.
4. In the case of loss of, damage or delay to a part of a shipment, the shipment weight in 16.B.3 shall be prorated to the packages covered by the same air waybill whose value is affected by the loss, damage or delay. The weight applicable in the case of loss or damage to one or more articles in a package shall be the weight of the entire package.

C. Ocean Shipments.

1. Service By Air, Inc. Shipments. If all or any part of the shipment tendered to Service By Air, Inc. is carried by water over any part of said route, such water carriage shall be performed subject to the terms and provisions and limitations of liability specified by the "Carriage of Goods By Sea Act" and any other pertinent laws applicable to water carriers. The shipper or his agent hereby authorizes Service By Air, Inc., in his name and on his behalf, to prepare any export documents, sign and accept any documents relating to said shipment and forward this shipment in accordance with the conditions of carriage and the tariffs of ocean carriers employed. The sole responsibility of Service By Air Inc. hereunder is to use reasonable care in the selection of carriers, forwarders, agents and others to whom it may entrust the shipment.
2. SBA Consolidators, Inc. Shipments. Ocean shipments arranged by SBA Consolidators, Inc. shall be governed and controlled by the terms and conditions of SBA Consolidators, Inc.'s bill of lading, as well as the bills of lading, conditions of carriage and tariffs of the carriers employed by SBA Consolidators, Inc..

D. Declared Value. When the shipper makes a declaration of value, such value must be declared on the face of the bill of lading and a valuation charge of \$.60 per \$100.00 of valuation will be charged on declared values up to \$5,000.00. For increments above \$5,000.00, the valuation charge will be \$.75 per \$100.00 of valuation. Except for shipments of extraordinary or high value shipments, the maximum declared value SBA will accept on any shipment is \$25,000.00 per shipment. A declared value of more than \$25,000 is only available on shipments of extraordinary or high value goods and only when you receive prior written authorization from the Director of Loss Prevention or a Corporate Officer (see Section 16.F. below).

E. Insurance. For domestic (United States and U.S. territories) air and ground shipments, international air shipments and ocean shipments, the shipper may request that the goods be insured. When requesting insurance, the shipper must:

1. make a request for insurance;
2. pay the appropriate premium; and
3. record the amount of the insurance in the space designated on the SBA Waybill.

If the foregoing conditions are met, the goods identified on our Waybill will be insured under an open policy. When such insurance is in place our liability shall in no event exceed the insured value or the actual amount of loss or damage, whichever is lower, plus the amount of any freight charges relating to such shipment. The insurance is subject to the terms, conditions, deductibles, exclusions and coverage (for which certain risks are excluded) of the open policy, which is available upon request. The maximum insured value SBA will accept on any shipment is \$25,000.00, unless you receive prior written authorization from the Director of Loss Prevention or a Corporate Officer.

Notwithstanding any other provisions herein, insurance is unavailable for goods that are excluded from coverage under the open insurance policy, including, but not necessarily limited to, the following:

- Bulk products
- Cigarettes and other tobacco products
- Computer chips and similar memory devices
- Cotton
- Knitting and textile machines
- Mobile/Cellular telephones

Notwithstanding any other provisions herein, insurance is limited, restricted, subject to conditions, or subject to high deductibles with respect certain shipments, including, but not necessarily limited to, the following:

- Alcoholic beverages
- Artwork
- Automobiles and motorcycles
- Computer equipment
- Glass, glassware, mirrors and glass tubes
- Lasers and laser equipment
- Televisions and other electronic equipment
- Truck shipments to or from Mexico
- Used goods, machinery or equipment

F. Extraordinary or High Value Goods. Notwithstanding any other provisions herein, shipments of goods with a value of more than \$25,000 will be considered extraordinary or high value goods and will not be accepted by SBA unless you receive prior written authorization from the Director of Loss Prevention or a Corporate Officer. In the event shipments of extraordinary value goods are accepted by SBA, with or without prior authorization, or such shipments are inadvertently accepted by SBA, SBA's liability shall be limited in accordance with above Sections 16.A., 16.B. and 16.C.(as applicable), subject to a maximum liability for such shipments of \$25,000 unless you receive prior written authorization from the Director of Loss Prevention or a Corporate Officer to declare a higher value for carriage and pay an additional charge for excess liability.

G. Excess Declared Value Prohibited. Any declared value in excess of the maximum allowed hereunder is null and void and the acceptance by us for carriage of any shipment with a declared value in excess of the maximum allowed hereunder does not constitute a waiver of the maximum declared value provisions.

H. Special Damages. In no event and under no circumstances shall we be liable for any special, incidental or consequential damages, including but not limited to loss of profits or income, whether or not we had notice or knowledge that such damages might be incurred.

17. NOTICE AND DISPOSITION OF PROPERTY

A. When shipments arrive at destination, we will promptly notify the consignee and/or his designated agent or broker if we are not delivering to the consignee.

B. If, at the expiration of the free storage time provided herein, a shipment containing nonperishable property is unclaimed or delivery cannot be effected, we will so notify the shipper and consignee, by telephone, email, facsimile or mail (at the addresses shown on the Waybill). Upon written instructions from the shipper, we will return the shipment to the shipper, forward or reconsign it, or otherwise dispose of it, all at the shipper's expense.

If no such instructions are received within thirty (30) days after the date of notice is given, we will dispose of the shipment at public or private sale.

C. Uncleared Import Shipments held at government warehouses will be recovered only when all costs have been paid in advance.

18. PACKING AND MARKING REQUIREMENTS

A. Shipments must be prepared or packed to ensure safe transportation with ordinary care in handling.

B. Any article susceptible to damage by ordinary handling must be adequately protected by proper packing and must be marked or bear appropriate labels.

C. Any article susceptible to damage as a result of any condition which may be encountered in transportation, such as high vibration or high or low temperature variations, high or low atmospheric pressure variations, must be adequately protected by proper packing and any other necessary measures.

D. Each piece must be legibly and durably marked with the name and address of the shipper and consignee. When a container is used repetitively, all old labels, tags markings, etc. must be removed.

E. Pieces with a floor bearing weight in excess of 100 pounds per square foot must be provided with a skid or base, which will reduce the floor bearing weight of 100 pounds or less per square foot. Such skid or base must be furnished by the shipper and included in the gross weight of the piece.

F. Each piece of a C.T.S. shipment must be plainly marked to show that the shipment is C.T.S. The markings must also show the number of pieces in the shipment.

G. Shipments of artwork, original paintings, drawings, etchings, water color paintings, oil paintings and sculptures of any kind, must be packed in wood crates of at least 1/4 inch (.64 centimeters) thickness which completely surround the article being shipped and must be clearly marked as to the nature of the contents.

19. PICKUP AND DELIVERY SERVICE

A. Pickup and/or delivery service will be provided during business hours Monday through Friday. Holiday and weekend pickup and/or delivery service is available at an additional cost.

B. Pickup and/or delivery services will not be provided to or from any address not directly accessible to vehicles or where it is impractical to operate a vehicle.

C. At buildings where our employees are not permitted access to floors above the ground floor pickup and delivery service will be subject to the following procedures:

1. We will pick up shipments only when tendered at the ground floor or receiving dock, and
2. Delivery to the person whose duty it is to receive property for the occupants of such buildings will constitute delivery to the consignee.

D. Loading and unloading incidental to pickup and delivery service will ordinarily be performed by one person. Pickup and delivery service will not be provided for pieces which cannot be handled by one person unless advance arrangements have been made, including, where necessary, the furnishing of additional people and equipment by the shipper or consignee.

E. When vehicles are held for loading or unloading in excess of fifteen (15) minutes, an additional charge will be assessed.

20. PROOF OF DELIVERY

When requested by the shipper or consignee, we will furnish a copy of the Waybill, Bill of Lading or other shipping document signed by the consignee or his agent as proof of delivery. A charge of \$5.00 per copy will be assessed for this service, except there will be no charge when the copy is provided in defense of a written claim made against us. There is no charge for verbal proof of delivery.

21. RATES

Any rates or charges for services set forth in a rate quote, rate sheet, contract or other document are subject to change without notice. Additionally, the shipments may be assessed accessorial charges and/or surcharges for additional services not covered in the Rate Quote and/or Rate Sheet. Shipper should contact us for a complete list of accessorial charges, fuel surcharges and/or other surcharges. Under no circumstances will rates or charges be considered guaranteed for a particular period unless specifically agreed to in writing.

22. RE-DELIVERY SERVICE

A shipment which, through no fault of ours, cannot be delivered on the first tender of delivery to the consignee will be returned to our terminal and the consignee will be notified. Re-delivery will be made at an additional charge.

23. ROUTING AND RE-ROUTING

SBA has complete freedom in choosing the means, route and procedure to be followed in handling, transportation and delivery, unless express instructions in writing are received from the customer.

24. SHIPMENTS ACCEPTABLE

Shipments of general commodities will generally be considered acceptable for transportation only when the rules and provisions shown herein and all laws, ordinances, and other governmental rules and regulations governing the transportation thereof have been compiled with by the shipper and/or consignee.

25. SHIPMENTS NOT ACCEPTABLE FOR TRANSPORTATION

Shipments of the following commodities or nature will not be accepted by SBA for transportation unless authorized by an SBA Corporate Officer

- Antiques
- Architectural Models
- Corpses, cremated or Disinterred remains
- Firearms
- Fresh Food Products
- Fur and Fur trimmed articles
- Gems
- Hazardous Waste Materials
- Live animals
- Marble
- Money, currency, bonds, Bills of Exchange, Deeds, Promissory Notes, Negotiable Securities and Stock Certificates
- Nursery stock and plants
- Original manuscripts or electronic media
- Wearing apparel designs of which no other copy exists
- Packages that are wet, leaking, or emit an odor of any kind
- Personal effects
- Postage, trading or revenue stamps, stamp collections and coin collections.
- Precious metal, including but not limited to, gold, silver or platinum in the form of bullion, jewelry or any other form.
- Used furniture or household goods uncrated or unwrapped.
- Shipments as classified in 49 CFR Parts 171-177 Hazardous Material Regulations of the US, with the following hazard class or divisions:
 - Explosives of class 1 with the following divisions: 1.1, 1.2, 1.3, 1.4, 1.5, 1.6, or known by class name prior to Jan. 1, 1991 as class A, B, C and blasting agents respectively. Division 1.6 had no applicable hazard class prior to Jan 1, 1991.
 - Shipment of class 2 with the following division: 2.3 poison gas or ICAO/IATA toxic gas
 - Shipments of class 4 with the following divisions: 4.1 flammable solid, 4.2 spontaneously combustible material and 4.3, dangerous when wet material
 - Shipments of class 5 with the following divisions: 5.1, oxidizer and 5.2, organic peroxide
 - Shipments of class 6 with the following divisions: 6.1 poisonous material or ICAO/IATA toxic substance and 6.2 infectious substance
 - Shipments of class 7 (radioactive) material
- Shipments of an inherent nature or defect, which indicates to us that such transportation, could not be furnished by us without loss of or damage to the shipment.
- Shipments prohibited by U.S. Federal or State, or foreign countries governing laws, rules and regulations either at origin or destination.
- Shipments from unknown shippers for movement on passenger aircraft.
- Shipments which require that we obtain a federal, state or local license for their transportation if we have elected not to comply with such license requirements.
- Shipments containing alcohol and/or tobacco, except when to be delivered to licensed dealers.
- Shipments from packaging companies (e.g. Mailboxes, etc.)
- Shipments not expressly covered by these rules, or which would be likely to cause damage to other shipments, equipment, crew or passengers, the carriage of which is prohibited by law.

To the extent any of the foregoing shipments are accepted by SBA, with or without prior authorization, or in the event any of the foregoing shipments are inadvertently accepted by SBA, such shipments shall be deemed and considered extraordinary value items and our liability for loss or damage to such shipments shall be limited in accordance with the provisions governing extraordinary value items under Section 16(F) above.

26. SHIPMENTS SUBJECT TO ADVANCE ARRANGEMENTS

The following will be accepted for carriage only upon advance arrangements and only when such advance arrangements have been satisfactorily completed.

- A. Any shipments having a declared or insured value exceeding \$25,000.
- B. Shipments containing oversized pieces (see Section 8).
- C. Shipments requiring pickup or delivery of pieces which cannot be handled by one individual.
- D. Excessive weight or size shipments.
- E. Shipments requiring special devices for safe handling.
- F. Dangerous Goods as described in Section 10.

27. SHIPMENTS SUBJECT TO DELAY

The following conditions may delay delivery of the shipment to the consignee and SBA shall have no liability for any damages asserted as a result of such delay:

- A. If the dimensions of the shipment are too large for available aircraft.
- B. If the length of the shipment exceeds 125".
- C. Shipments that are improperly packaged or lack proper documentation.
- D. Shipments on which the shipper has omitted or provided an incorrect consignee address on the Waybill.
- E. Shipments requiring special licenses or consularization filing prior to export.
- F. C.T.S. shipments.
- G. Shipments difficult to handle, oversized or unwieldy, single pieces in excess of 250 pounds.
- H. Shipments containing Dangerous Goods/Hazardous Materials.
- I. Shipments not complying with US Department of Transportation, US Department of Homeland Security – Transportation Security Administration (TSA) regulations.
- J. Shipments subject to inspection, seizure or detention by any legally authorized authority.
- K. Shipments delayed because of national Holidays, weather-related conditions, natural disasters, or acts of God.
- L. Shipments delayed because of other conditions or circumstances beyond the reasonable control of SBA.

28. SHIPMENTS SUBJECT TO SPECIAL CONDITIONS

- A. Shipments requiring special devices for safe handling will be accepted only when such special devices are provided and operated by and at the expense of the shipper or consignee.
- B. Furs, Dangerous Goods, and items of extraordinary value must not be included in the same shipment with any other article.

29. SIGNATURE SECURITY SERVICE

Signature Security Service is available only for government shipments and only upon request.

- A. At the request of the shipper, we will handle shipments under Signature Security Service from

the time of acceptance from shipper at origin to the time of delivery to consignee at destination.

B. Signature Security Service shall mean that each employee or our agent shall execute a signed receipt upon accepting custody of the shipment and shall obtain a signed receipt upon relinquishing custody of such shipment to another employee or our agent. On shipments tendered on behalf of the Department of Defense requesting Signature Security Service, we will use the DD Form 1907 issued by the shipper as a signature and tally record.

C. Waybill, Government Bill of Lading, or other shipping documents presented to us must have the statement "Signature Service Requested" entered by the shipper.

D. A charge of \$50.00 per shipment will be assessed for Signature Security Service in addition to all other applicable charges.

30. STORAGE AND CHARGES

A. Shipments will be held without charge for three (3) calendar days (excluding the first Saturday, Sunday and Legal Holiday) computed from 8:00 AM the day following notification of shipment being on hand.

B. After the expiration of such free time, we will continue to hold such shipments for the shipper and consignee, subject to a minimum storage charge of \$1.00 per day per 100 pounds or any fraction thereof, subject to a minimum storage charge of \$50.00 per shipment per day. If such continued holding is not practicable, we will place the shipment in a public warehouse at the expense of the shipper and consignee, subject to a lien for all transportation, storage, delivery, warehousing, and other charges, including handling charges of \$1.00 per 100 pounds (45 kilograms) or any fraction thereof, subject to a minimum handling charge of \$20.00 per shipment.

C. When the shipment is held by us after the expiration date of such free time, our liability for the shipment will terminate.

D. Shipments will be held for a period of time not to exceed thirty (30) calendar days from the 8:00 AM following the notification of shipment being on hand. At the expiration of thirty (30) calendar days, we may return the shipment or part of the shipment to the shipper at the shipper's expense, subject to a lien for all charges applicable to the shipment or part of thereof, or we may retain possession of the shipment and in such case the shipment will continue to be subject to our lien and all rights associated with our lien.

E. The lien provisions of Section 15 shall apply to all shipments, which are stored pursuant to this Rule.

31. THE WAYBILL / BILL OF LADING

A. Except as otherwise provided or agreed to by Service By Air, Inc., all ground and air carriage performed by Service By Air, Inc. shall be subject to Service By Air, Inc.'s current Waybill and the Conditions of Contract appearing on the reverse-side thereof. For all ground and air shipments where a bill of lading or waybill issued by the shipper is other than our Waybill required herein, such driver or other signature will acknowledge receipt of the freight only. Such non-authorized bills of lading or waybills are not a contract of carriage and Service By Air, Inc. will not be subject to its terms and conditions. Continued use of unauthorized bills of lading by shipper will not, and does not, constitute an implied acceptance or ratification by Service By Air, Inc.

B. Except as otherwise provided or agreed to by SBA Consolidators, Inc., all ocean carriage performed by SBA Consolidators, Inc. shall be subject to SBA Consolidators, Inc.'s current Bill of Lading and the terms and conditions appearing on the reverse-side thereof. For all ocean shipments where a bill of lading issued by the shipper is other than our Bill of Lading required herein, such carrier signature will acknowledge receipt of the freight only. Such non-authorized bills of lading are not a contract of carriage and SBA Consolidators, Inc. will not be subject to its terms and conditions. Continued use of unauthorized bills of lading by shipper will not, and does not, constitute an implied acceptance or ratification by SBA Consolidators, Inc..

C. If requested, we will provide the shipper with a copy of the Waybill, Bill of Lading, or other nonnegotiable shipping document on which the shipment was tendered to us. A minimum charge of \$5.00 per copy will be assessed for this service, except there will be no charge when the copy is provided in defense of a written claim.

D. The contents of all shipments must be indicated by accurate description on the Waybill or Bill of Lading.

E. The number of pieces included in a shipment must be specified on the Waybill or Bill of Lading.

F. The dimensions and weight of the shipment must be entered on the Waybill or Bill of Lading by the shipper. If omitted, or entered incorrectly, we reserve the right to measure and weigh the shipment and apply appropriate density and oversize shipment surcharges. Shipments may be re-weighed at origin or destination.

G. If the service level is omitted on our Waybill or Bill of Lading, it will be rated at the highest applicable rate.

32. APPLICABLE LAW AND FORUM

To the extent not governed by International Treaty, Convention or United States Federal Law, all disputes, claims or actions arising hereunder shall be governed by, construed and interpreted in accordance with the laws of the State of New York, without regard to its conflict of laws principles. All actions, suits or proceedings arising hereunder shall be brought in the U.S. District Court for the Eastern District of New York, County of Suffolk or Nassau, or, in the absence of federal jurisdiction, the Supreme Court for the State of New York, County of Nassau; and you hereby agree and consent to the jurisdiction and venue of such court for all purposes, including the taking of depositions.

ADDITIONAL REQUIREMENTS FOR INTERNATIONAL SHIPMENTS

33. LETTER OF INSTRUCTION

SBA accepts the SBA standard domestic and international waybill as the Shipper's Letter of Instruction and International Waybill and will prepare any required export documentation from the information shown thereon. For some shipments SBA may act as an agent for the airline, in which case, the airline's tariff applies. If you do not complete all the documents required for carriage, you hereby instruct us, where permitted by law, to complete the documents for you, at our option and at your expense, and to attach them to the Waybill, but we are not obligated to do so. We assume no liability to you or any other person for any loss or expense due to your failure to comply with this provision. You further agree to hold us harmless from and against all claims, damages, liabilities, actions, losses, costs and expenses of any nature whatsoever arising out of your providing to us incomplete, inaccurate or false documentation or your failure to provide required information.

34. ROAD TRANSPORT NOTICE

Shipments transported partly or solely by road, be there an explicit agreement to do so or not, into or from a country that is a party to the Convention on the Contract for International Carriage of Goods by Road (the "CMR") are subject to the terms and conditions of the CMR, notwithstanding any other provisions referred to or in this Waybill to the contrary, except that the higher limitations of liability as set forth in these conditions shall remain applicable as opposed to those set forth in the CMR.

35. OCEAN SHIPMENTS

The Shipper or his Authorized Agent hereby authorizes SBA, in his name and on his behalf, to prepare any export documents, to sign and accept any documents relating to said shipment and forward this shipment in accordance with the bills of lading, conditions of carriage and tariffs of the carriers employed. The shipper guarantees payment of all collect charges in the event the consignee refuses payment. Hereunder the sole responsibility of SBA is to use reasonable care in

the selection of carriers, forwarders, agents and others to whom it may entrust the shipment.

36. C.T.S (C.O.D.) SERVICE

SBA does not provide C.T.S. (a/k/a C.O.D.) service on international shipments.

37. CUSTOMS CLEARANCE

By giving SBA this shipment, you hereby appoint SBA as your agent solely for performance of customs clearance and certify us as the nominal consignee for the purpose of designating a customs broker to perform customs clearance (unless you specify a customs broker on the front of this Waybill in the box provided) (where available). In some instances, local authorities may require additional documentation confirming our appointment. It is your responsibility to provide proper documentation and confirmation when required. You are responsible for and warrant your compliance with all applicable laws, rules and regulations, including but not limited to customs laws; import, export and re-export laws; and governmental regulations of any country to, from, through, or over which your shipment may be carried. You agree to furnish such information and complete and attach to this Waybill such documents necessary to comply with such laws, rules and regulations. We assume no liability to you or any other persons for any losses or expenses due to your failure to comply with this provision.

You are also responsible for all charges; including transportation charges and all duties, customs assessments, governmental penalties and fines, taxes and our lawyers' fees and legal costs, related to this shipment.

38. EXPORT CONTROL

You authorize SBA to act as forwarding agent for you for export control and customs purposes. You hereby certify that all statements and information contained in the Waybill and any accompanying documents relating to exportation are true and correct. Furthermore, you understand that civil and criminal penalties, including forfeiture and sale, may be imposed for making false or fraudulent statements; for violation of any United States Laws or exportation, including but not limited to 13 USC Sec. 305, 22 USC Sec. 401, 18 USC Sec. 1001, and 50 USC App, 2410; or the violation of export laws of other countries.

FILING CLAIMS

39. LOSS OR DAMAGE CLAIMS PROCEDURE AND TIME LIMITS

Claims for loss, damage, or delay of a shipment must be filed in writing, within the time limits set forth herein, to **Service By Air, Inc., Claims Department, 1111 East Watson Center Road, Suites D & E, Carson, CA 90745**. In the event you fail to file a written claim within the time limits set forth herein, SBA shall have no liability for such claim and no further action may be brought against SBA.

A. Air Shipments (Domestic and International). Claims relating to domestic and international air shipments must be made:

1. for damage or shortage, immediately after discovery of the damage or shortage, but in no event later than 14 days from the date of delivery.
2. for delay of the shipment, within 21 days from the date of delivery.
3. for non-delivery of the shipment, within 120 days from the date the shipment was accepted by SBA.

B. Ground Shipments. Except for shipments that are exempt pursuant to 49 USC Secs. 13531 and 13506(a)(8) and which shall be considered air shipments, claims relating to ground shipments, must be made within 9 months from the date of delivery of the shipment or, in the case of non-delivery, within 9 months after a reasonable time for delivery has elapsed (not to exceed 15 days beyond the estimated delivery date).

40. CONCEALED DAMAGE CLAIMS

If the recipient accepts your shipment without noting any damage on the delivery receipt, delivery manifest, or other delivery document, it will be presumed that the package was delivered in good order and condition and any loss or damage reported thereafter shall be considered concealed damage. All claims for concealed damage must be reported to us within

seventy-two (72) hours from the date of delivery and a written claim must be filed within 15 days from the date of delivery, otherwise your claim will be declined. In order for us to process your claim, you must make the contents, original shipping cartons and packing available for inspection.

41. TIME LIMITS FOR SUITS RELATING TO LOSS OR DAMAGE CLAIMS

A. Air Shipments (Domestic and International). Suits for loss, damage or delay against SBA relating to an air shipment (domestic or international) shall be commenced no later than two years from the date of delivery, or from the date on which the shipment ought to have been delivered, or from the date on which the carriage is stopped. Any rights to damages shall be extinguished unless suit is commenced within the time limits set forth herein.

B. Ground Shipments. Suits for loss, damage or delay against SBA relating to any ground shipment shall be commenced no later than two years and one day from the date when SBA gives you written notice that the claim (or any part or parts of the claim) has been disallowed. Any rights to damages shall be extinguished unless suit is commenced within the time limits set forth herein.

42. OVERCHARGE CLAIMS

A. Claims for overcharges, refunds or duplicate payments (collectively "overcharge claims") must be made in writing within 90 days from the date of delivery of the shipment that is the subject of the claim, otherwise such claims shall be deemed waived by you. All overcharge claims, along with any and all supporting documentation, shall be filed in writing to: **Service By Air, Inc. 222 Crossways Park Drive, Woodbury, NY, 11797, Accounts Receivable Manager.**

B. Suits to recover overcharge claims must be filed within eighteen (18) months from the date of delivery the shipment that is the subject of the claim. Any rights to damages shall be extinguished unless suit is commenced within the time limits set forth herein.

43. NO RIGHT TO OFFSET

YOU SHALL NOT HAVE ANY RIGHT TO OFFSET OR DEDUCT UNPAID TRANSPORTATION OR OTHER CHARGES DUE AND OWING TO SBA AGAINST UNPAID CLAIMS FOR LOSS OR DAMAGES, CLAIMS FOR OVERCHARGES, OR ANY OTHER CLAIMS ASSERTED AGAINST SBA. SBA IS NOT OBLIGATED TO ACT ON ANY CLAIM UNTIL ALL TRANSPORTATION CHARGES ARE PAID IN FULL.

[Freight Shipping & Logistic Services](#) | [Industry Expertise](#) | [SBA Locations](#) | [The SBA Advantage](#)
[Home](#) | [Work with SBA](#) | [Contact Us](#) | [Sitemap](#) | [Terms & Conditions](#)

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EXHIBIT 2

From: Jay Jalowiecki
To: 'Davidleelz@yahoo.com'
CC: 'Bryan Tincher (tincherb@sbaglobal.com)'
Sent: 3/20/2014 11:48:57 AM
Subject: FW: container imports

HELLO DAVID PLEASE SEE BELOW AND WORK WITH BRYAN FOR WHAT HE NEEDS
THANKS

JAY J
CMI DISTRIBUTION/PACKAGING
555 ALLENDALE DR
WHEELING , IL 60090
JAYJ@CMIPACKAGING.COM
847-947-7400 OFFICE
847-947-7418 FAX

From: Bryan Tincher [mailto:tincherb@sbaglobal.com]
Sent: Thursday, March 20, 2014 12:11 PM
To: Jay Jalowiecki
Subject: container imports

Jay
I'll be working your containers from China.
If you want, we can work directly from now on since Mike is in sales.
I have the sailing info for the first container. I want to send the ISF info to your broker.
Can you get me their email?

Sincerely
Bryan J. Tincher
Import/Export Manager



SBA Global-ORD
811 Thorndale Ave
Bensenville, IL 60106
630-616-1212
Fax 630-616-1112
cell 847-212-3051

All services subject to Service By Air's Terms & Conditions,
available at www.sbaglobal.com.

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EXHIBIT 3

Shelly

--

Booth Number :11.727 (ISSA Amsterdam: May05-09 .2014)
Polywel International Trade Company Limited
Polyfun Plastic Products Company Limited
张家港市宝利发塑胶制品有限公司
Weizhuang village Fenghuang Town Zhangjiagang City, Jiangsu, P.R
江苏省张家港市凤凰镇魏庄村
Tel: 0086 512 58981799 58986577
Fax:0086 512 58986799
Code: 215614

Dark Tang
上速國際貨運（上海）有限公司
LAS-SWEG LOGISTICS (SHANGHAI) LTD.
Tel:8621-62852510*127
Fax:8621-62577384
web-site:www.las-freight-system.com

發件人: [Bryan Tincher](#)
發送時間: 2014-04-28 21:53
收件人: [ERWIN HSU](#)
抄送: [lily.dong](#); [dark.tang](#)
主題: RE: new booking SHA/CHI etd 5/4 - POLYWEL/CMI (JOB NO:SSE1404010)
OKAY
I will notify the consignee.

Sincerely
Bryan J. Tincher
Import/Export Manager



SBA Global-ORD
811 Thorndale Ave
Bensenville, IL 60106
630-616-1212
Fax 630-616-1112
cell 847-212-3051

From: ERWIN HSU [<mailto:erwin.hsu@las-sweg.com>]
Sent: Monday, April 28, 2014 2:35 AM
To: 'Bryan Tincher'
Cc: 'lily.dong'; dark.tang@las-sweg.com
Subject: new booking SHA/CHI etd 5/4 - POLYWEL/CMI (JOB NO:SSE1404010)

GOOD MORNING BRYAN,

IN OTHER WORDS(fyi) - SHIPMENT DELAYED DUE TO SHIPPER' s LACK OF MANPOWER THIS WEEK(i.e. employees has taken off for Chinese Labor Day Holidays which officially is from 5/1 to 5/3) ...

MANY THKS & BRGDS
ERWIN HSU

From: dark.tang@las-sweg.com [mailto:dark.tang@las-sweg.com]
Sent: Monday, April 28, 2014 11:56 AM
To: 'Bryan Tincher'
Cc: 'lily.dong'; 'ERWIN HSU'
Subject: Re: RE: new booking SHA/CHI etd 5/4 - POLYWEL/CMI (JOB NO:SSE1404010)

Dear Bryan:

Just I receive notice from shipper that they can't load cargo into the container because lack hamaul . So they can't catch up sailing of ETD 4/May .

Next sail sailing schedule as below:

VESSEL NAME:CORINTHIAKOS 1419E
CUT OFF:8/MAY
ETD:11/MAY
ETA:5/JUN
CARRIER:PIL

Our cost is not change . Pls advise it to cnee .Thank you !

Dark Tang
上速國際貨運（上海）有限公司
LAS-SWEG LOGISTICS (SHANGHAI) LTD.
Tel:8621-62852510*127
Fax:8621-62577384
web-site:www.las-freight-system.com

From: [Bryan Tincher](#)
Date: 2014-04-25 21:02
To: [ERWIN HSU](#)
CC: [dark.tang](#); [lily.dong](#)
Subject: RE: new booking SHA/CHI etd 5/4 - POLYWEL/CMI (JOB NO:SSE1404010)
okay

Sincerely

Bryan J. Tincher
Import/Export Manager



SBA Global-ORD
811 Thorndale Ave
Bensenville, IL 60106
630-616-1212
Fax 630-616-1112
cell 847-212-3051

From: ERWIN HSU [mailto:erwin.hsu@las-sweg.com]
Sent: Thursday, April 24, 2014 11:12 PM
To: 'Bryan Tincher'
Cc: dark.tang@las-sweg.com; 'lily.dong'
Subject: new booking SHA/CHI etd 5/4 - POLYWEL/CMI (JOB NO:SSE1404010)

HELLO BRYAN,

RE ATTACHED NEW BOOKING REQUEST FOR 1x40' HQ - FYR AND HAVE A NICE
EVENING/WEEKEND ... J

1) FROM 5/1-5/15 - OUR UPDATED NET/T BUY RATE @ USD3380.00/40' or 40' HQ
VIA "PIL"
(WILL MARK UP OUR MUTUAL PROFIT OF USD200.00 AS USUAL/ACCORDINGLY)

2) SAILING SCHEDULE
VESSEL NAME: XIN QUAN ZHOU V.QQZ0477E
CUT OFF: 4/30
ETD SHA: 5/4
ETA CHI: 5/29

MANY THKS & BRGDS

ERWIN HSU
LAS FREIGHT SYSTEM LTD. / HEAD OFFICE
10/F, NO. 44, LANE 11, KUANG FU N. ROAD, TAIPEI 105, TAIWAN
TEL: +886 2 2769 8379
FAX: +886 2 2769 8382 / 2763 9070
MOBILE: +886 918 733 985
E-MAIL: erwin.hsu@las-sweg.com
lasfret@msl7.hinet.net
WEBSITE: <http://www.las-freight-system.com>

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available at www.sbaglobal.com.

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RADIANT002030

EXHIBIT 4

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.,

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

DECLARATION OF MIKE GALLO
IN SUPPORT OF JUDGMENT AGAINST SBA

1. My name is Mike Gallo. I founded CMI Distribution, Inc. ("CMI") in 2002__. I have served as President of CMI since that time.

2. In 2014, I spoke with Mike Miller, a salesman at SBA, regarding having SBA transport goods from China to the United States on CMI's behalf.

3. Prior to that time, UTI had provided transportation services for CMI.

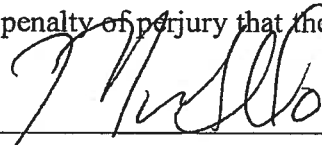
4. In those discussions, Mike Miller represented that SBA could provide the same type of services that UTI had been providing to CMI.

5. Neither Mike Miller nor anyone else at SBA ever told me that SBA was not assuming responsibility for transporting our cargo from China to the United States. If SBA had done so, I would not have contracted with SBA to handle our goods moving from China.

6. If SBA was merely acting as an intermediary and not assuming responsibility for transporting CMI's cargo from China to the United States, SBA could not have refused to release

CMI's containers as it did. This is particularly true given that for many of the containers that SBA refused to release, the supplier had been paid and there were no outstanding charges owing.

Pursuant to 28 U.S.C. §1746, I declare under penalty of perjury that the foregoing is true and correct.



Mike Gallo

EXHIBIT 5

From: Bryan Tincher
To: Diana Alvarado
Sent: 3/27/2015 6:42:26 AM
Subject: RE: NEED DETAIL - CMI B-bill invoices

Rate is \$300.00 per day.
I'll work on it.

Sincerely
Bryan J. Tincher
Import/Export Manager

SBA Global-ORD
811 Thorndale Ave
Bensenville, IL 60106
630-616-1212
Fax 630-616-1112
cell 847-212-3051

-----Original Message-----

From: Diana Alvarado [mailto:dianaA@cmipackaging.com]
Sent: Friday, March 27, 2015 8:42 AM
To: Bryan Tincher
Subject: FW: NEED DETAIL - CMI B-bill invoices

Morning Bryan,

Please help me with your input on the second sheet "cost freight duty"

Also, what is the rate per day for demurrage?

Thank you.

-----Original Message-----

From: Bryan Tincher [mailto:tincherb@sbaglobal.com]
Sent: Thursday, March 26, 2015 2:48 PM
To: Diana Alvarado; Michael Miller
Cc: Maria Teresa Vega; Jay Jalowiecki
Subject: RE: NEED DETAIL - CMI B-bill invoices

Diana
See attached
On container schedule, in red is what I changed.

Sincerely
Bryan J. Tincher
Import/Export Manager

SBA Global-ORD
811 Thorndale Ave
Bensenville, IL 60106
630-616-1212
Fax 630-616-1112
cell 847-212-3051

-----Original Message-----

From: Diana Alvarado [mailto:dianaA@cmipackaging.com]
Sent: Wednesday, March 25, 2015 3:41 PM
To: Bryan Tincher; millerm@sbaglobal.com
Cc: Maria Teresa Vega; Jay Jalowiecki
Subject: NEED DETAIL - CMI B-bill invoices

EXHIBIT 6

Column A FLDR No.	Column B SBA Demurrage Charged to CMI	Column H Expert Report Calculated Demurrage (Exh. F-1)	Column I Markup
33	\$9,600.00(NO INVOICE)	\$0.00	\$9,600.00
42	\$9,900.00 JA00289	\$5,410.00	\$4,490.00
44	\$6,650.00 JA00324	\$0.00	\$6,650.00
46	\$8,400.00 JA00366	\$4,970.00	\$5,445.00
49	\$2,700.00 JA00383	\$1,315.00	\$1,385.00
50	\$12,250.00 (NO INVOICE)	\$3,655.00	\$8,595.00
51	\$3,600.00 (NO INVOICE)	\$955.00	\$2,645.00
53	\$8,735.00 (NO INVOICE)	\$0.00	\$8,735.00
54	\$7,154.50 JA00485	\$0.00	\$7,154.50
58	\$12,000.00 JA00502	\$6,385.00	\$5,165.00
62	\$12,600.00 JA00629	\$6,970.00	\$5,630.00
		Total:	\$65,494.50

EXHIBIT 7

<u>Column A</u>	<u>Column B</u>	<u>Column C</u>	<u>Column D</u>	<u>Column E</u>	<u>Column F</u>	<u>Column G</u>
FLDR No.	SBA Demurrage	Underlying Demurrage	Underlying Storage	Underlying Detention	Per Diem Charges	Markup
3	\$1,905.00 (NO INVOICE)	\$1,780.00 JA00011				\$125.00
9	\$1,535.00 JA00025	\$1,310.00 JA00022				\$225.00
10	\$250.00 JA00044			\$187.50 JA00041		\$62.50
13	\$1,781.25 JA00067	\$960.00 (chassis only) JA00061		\$206.25 JA00061		\$615.00
16	\$2,206.25 JA00083				\$1,306.25 JA00080	\$900.00
17	\$3,740.00 JA00107	No Underlying Invoice				\$3,740.00
19	\$27,100.00 JA00133	\$18,430.00 JA00127	\$2,425.00 JA00127			\$6,245.00
21	\$950.00		\$852.00 JA00147			\$98.00
25	\$21,900.00 JA00171	\$9,325.00 JA00167	\$1,950.00 JA00167			\$10,625.00
27	\$14,300.00 JA00193	\$6,675.00 JA00187	\$1,400.00 JA00187			\$6,225.00
29	\$6,650.00 JA00216	No Underlying Invoice				\$6,650.00
36	\$6,325.00 JA00265	\$1,425.00 JA00257	\$375.00 JA00257			\$4,525.00
43	\$2,700.00 JA00310	\$1,000.00 JA0303	\$175.00 JA00303			\$1,525.00
52	\$14,100.00 JA00435	\$7,350.00 JA00431	\$1,200.00 JA00431			\$5,550.00
59	\$6,300.00 JA00547				\$4,505.00 JA00544	\$1,795.00
60&61	\$39,468.00 (missing second invoice) JA00593	No Underlying Invoice				\$39,468.00
62	\$12,600.00 JA00629	\$8,075.00 JA00614	\$1,050.00 JA00614			
					Total:	\$88,373.50

EXHIBIT 8

<u>Column A</u>	<u>Column B</u>	<u>Column C</u>	<u>Column D</u>	<u>Column E</u>
FLDR NO.	Original Freight Charges	SBA Freight Charges	Markup	Notes
3	\$3,028.00 JA00007	No Invoice	n/a	
9	\$3,308.00 JA00015	\$4,688.00 JA00024	\$1,380.00	
10	\$4,500.00 JA00033	\$5,537.00 JA00044	\$1,037.00	
13	\$4,680.00 JA00049	\$5,280.00 JA00067	\$600.00	
16	\$4,900.00 JA00074	\$5,050.00 JA00083	\$150.00	
17	\$3,540.00 JA00094	\$4,050.00 JA00107	\$510.00	listed as air freight
19	\$4,120.00 JA00121	No Invoice	n/a	
21	\$5,000.00 JA00141	\$5,400.00 JA00150	\$400.00	listed as air freight
25	\$3,820.00 JA00162	No Invoice	n/a	
27	\$3,550.00 JA00177	No Invoice	n/a	
29	\$3,100.00 JA00207	\$3,470.00 JA00216	\$370.00	listed as air freight
33	\$3,520.00 JA00227	\$4,550.00 & \$9,600.00 JA00239-00240	\$10,630.00	listed as air freight
36	\$7,700.00 JA00251	No Invoice	n/a	
42	\$4,150.00 JA00275	No Invoice	n/a	
43	\$4,150.00 JA00297	\$5,150.00 JA00311	\$1,000.00	
44	\$5,030.00 JA00318	\$5,815.00 JA00345	\$785.00	
46	\$8,300.00 JA00354	\$9,650.00 JA00365	\$1,350.00	
49	\$3,780.00 JA00372	No Invoice	n/a	
50	\$4,150.00 JA00391	No Invoice	n/a	
51	\$3,781.00 JA00404	\$4,880.00 JA00418	\$1,099.00	
52	\$3,750.00 JA00427	\$4,245.00 JA00436	\$495.00	listed as air freight
53	\$4,080.00 JA00443	\$8,734.58 JA00453	\$4,654.58	
54	\$5,150.00 JA00459	No Invoice	n/a	
58	\$3,850.00 JA00491	\$4,895.00 JA00503	\$1,045.00	
59	\$3,000.00 JA00516	\$4,095.00 JA00546	\$1,095.00	
60&61	\$6,000.00 JA00560	\$7,490.00 JA00592	\$1,490.00	
62	\$3,800.00 JA00601	\$4,895.00 JA00628	\$1,095.00	
			Total:	
			\$29,185.58	

EXHIBIT 9

Shipper's Name and Address TOWN CHANCE 2410000 25.00 0000 000000		Shipper's Account Number		Not Negotiable Air Waybill Insured By MEMBER OF I.A.T.A.	
Consignee's Name and Address LMI DISTRIBUTION - PHOENIX 555 SLENDALF RD MESA, AZ 85204		Consignee's Account Number		Copies 1, 2 and 3 of this Air Waybill are originals and have the same validity. It is agreed that the goods described herein are accepted in apparent good order and condition (except as noted) for carriage SUBJECT TO THE CONDITIONS OF CONTRACT ON THE REVERSE HEREOF ALL GOODS MAY BE CARRIED BY ANY OTHER MEANS INCLUDING ROAD OR ANY OTHER CARRIER UNLESS SPECIFIC CONTRARY INSTRUCTIONS ARE GIVEN HEREON BY THE SHIPPER. AND SHIPPER AGREES THAT THE SHIPMENT MAY BE CARRIED VIA INTERMEDIATE STOPPING PLACES WHICH THE CARRIER DEEMS APPROPRIATE. THE SHIPPER'S ATTENTION IS DRAWN TO THE NOTICE CONCERNING CARRIER'S LIMITATION OF LIABILITY. Shipper may increase such limitation of liability by declaring a higher value for carriage and paying a supplemental charge if required.	
Issuing Carrier's Agent Name and City SERVICE BY AIR, INC. 211 THUNDERBOLT AVE DENVER, CO 80202		Accounting Information		Reference Number	
Agent's IATA Code 01-1-1000		Account No.		Optional Shipping Information	
Airport of Departure (Addr of First Carrier) and Requested Routing DENVER		Reference Number		Optional Shipping Information	
To DEN	By First Carrier FIRM CARRIER	In	by	to	by
Airport of Destination DENVER		Requested Flight Date		Amount of Insurance	
Handling Information		Insurance		Declared Value for Customs	
These commodities, technology or software were exported from the United States in accordance with the Export Administration Regulations. Ultimate destination					
No. of Pieces RCP		Gross Weight		Rate Class	
Commodity Item No.		Chargeable Weight		Rate	
Total		Total		Nature and Quantity of Goods (incl Dimensions or Volume)	
Prepaid		Weight Charge		Collect	
Valuation Charge		Tax		Total Other Charges Due Agent	
Total Other Charges Due Carrier		Total Prepaid		Total Collect	
Currency Conversion Rates		CC Charges in Dest. Currency		Signature of Shipper or his Agent	
For Carrier's Use only at Destination		Charges at Destination		Signature of Issuing Carrier or its Agent	
Total Collect Charges		Total Collect Charges		N770451	

Shipper's Name and Address 1000 1000 21 100 000 100 HENNESSY RD WASHINGTON MO 64785		Shipper's Account Number 100		Not Negotiable Air Waybill Issued by BENSENVILLE IL 60010 MEMBER OF I.A.T.A.	
Consignee's Name and Address THE DISTRIBUTION - PACKAGING 555 WILLOWDALE RD WILLOWDALE IL 60095		Consignee's Account Number 100		Copies 1, 2 and 3 of this Air Waybill are originals and have the same validity. It is agreed that the goods described herein are accepted in apparent good order and condition (except as noted) for carriage SUBJECT TO THE CONDITIONS OF CONTRACT ON THE REVERSE HEREOF ALL GOODS MAY BE CARRIED BY ANY OTHER MEANS INCLUDING ROAD OR ANY OTHER CARRIER UNLESS SPECIFIC CONTRARY INSTRUCTIONS ARE GIVEN HEREON BY THE SHIPPER AND SHIPPER AGREES THAT THE SHIPMENT MAY BE CARRIED VIA INTERMEDIATE STOPPING PLACES WHICH THE CARRIER DEEMS APPROPRIATE. THE SHIPPER'S ATTENTION IS DRAWN TO THE NOTICE CONCERNING CARRIER'S LIMITATION OF LIABILITY. Shipper may increase such limitation of liability by declaring a higher value for carriage and paying a supplemental charge if required.	
Issuing Carrier's Agent Name and City BENSENVILLE IL 60010		Accounting Information 100		Reference Number 100	
Agent's IATA Code 100		Account No. 100		Optional Shipping Information Declared Value for Carriage Declared Value for Customs	
Airport of Departure (Addr. of First Carrier) and Requested Routing 100		Reference Number 100		Optional Shipping Information Declared Value for Carriage Declared Value for Customs	
To NEW YORK		By First Carrier 100		Requested Flight Date 100	
Airport of Destination 100		Requested Flight Date 100		Amount of Insurance INSURANCE - If carrier offers insurance and such insurance is requested in accordance with the conditions thereof indicate amount to be insured in figures in box marked "Amount of Insurance".	
Handling Information These commodities, technology or software were exported from the United States in accordance with the Export Administration Regulations. Ultimate destination: _____ Diversion contrary to U.S. law prohibited. SCI					
No. of Pieces RCP		Gross Weight Wt		Rate Class Commodity Item No.	
Chargeable Weight Wt		Rate Charge		Total 100	
Prepaid 100		Weight Charge 100		Other Charges 100	
Valuation Charge 100		Tax 100		Signature of Shipper or his Agent 100	
Total Other Charges Due Agent 100		Total Other Charges Due Carrier 100		Signature of Issuing Carrier or its Agent 100	
Total Prepaid 100		Total Collect 100		Executed on (date) 100	
Currency Conversion Rates 100		CC Charges in Dest. Currency 100		at (place) 100	
For Customs Use only at Destination 100		Charges at Destination 100		Total Collect Charges 100	

N70596

Shipper's Name and Address JAMES H. HENNESSY, JR. 511 THUNDERBOLT AVE BENSENVILLE IL 60015		Shipper's Account Number		Not Negotiable Air Waybill Issued by BENSENVILLE IL 60015 BENSENVILLE IL 60015	
Consignee's Name and Address THE DISTRIBUTION - PACIFIC 955 CALLEDALE DR WHEELING IL 60090		Consignee's Account Number		Copies 1, 2 and 3 of this Air Waybill are original and have the same validity. It is agreed that the goods described herein are accepted in apparent good order and condition (except as noted) for carriage SUBJECT TO THE CONDITIONS OF CONTRACT ON THE REVERSE HEREOF. ALL GOODS MAY BE CARRIED BY ANY OTHER MEANS INCLUDING ROAD OR ANY OTHER CARRIER UNLESS SPECIFIC CONTRARY INSTRUCTIONS ARE GIVEN HEREON BY THE SHIPPER. AND SHIPPER AGREES THAT THE SHIPMENT MAY BE CARRIED VIA INTERMEDIATE STOPPING PLACES WHICH THE CARRIER DEEMS APPROPRIATE. THE SHIPPER'S ATTENTION IS DRAWN TO THE NOTICE CONCERNING CARRIER'S LIMITATION OF LIABILITY. Shipper may increase such limitation of liability by declaring a higher value for carriage and paying a supplemental charge if required.	
Issuing Carrier's Agent Name and City SERVICE BY AIR, INC. 811 THUNDERBOLT AVE BENSENVILLE IL 60015		Accounting Information		Reference Number	
Agent's IATA Code 01-1-7432/0002		Account No.		Optional Shipping Information	
Airport of Departure (Addr. of First Carrier) and Requested Routing MEMPHIS		Reference Number		Optional Shipping Information	
To MEMPHIS		By First Carrier By First Carrier		In by to by	
Airport of Destination MEMPHIS		Requested Flight Date		Amount of Insurance	
Handling Information		Insurance		Declared Value for Carriage	
These commodities, technology or software were exported from the United States in accordance with the Export Administration Regulations. Ultimate destination		Diversion contrary to U.S. law prohibited		SCI	
No. of Pieces RCP		Gross Weight		Rate Class	
Commodity Item No.		Chargeable Weight		Rate	
Total		Total		Nature and Quantity (if Goods)	
Prepaid		Weight Charge		Collect	
Valuation Charge		Other Charges		Shipper certifies that the particulars on the face hereof are correct and that insofar as any part of the consignment contains dangerous goods, such part is properly described by name and is in proper condition for carriage by air according to the applicable Dangerous Goods Regulations.	
Tax		Signature of Shipper or his Agent		Signature of Issuing Carrier or its Agent	
Total Other Charges Due Agent		Total Prepaid		Total Collect	
Total Other Charges Due Carrier		Currency Conversion Rates		CC Charges in Dest. Currency	
For Carriers Use only at Destination		Charges at Destination		Total Collect Charges	

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ORIGINAL 1 (FOR ISSUING CARRIER)